

ANNUAL REPORT

2015–2016

QRAA



Queensland
Government

QRAA Annual Report 2015-16

Welcome

Welcome to the QRAA Annual Report for 2015-16.

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries.

We provide specialist financial administrative services to the Queensland Government, Australian Government and state and territory governments throughout Australia.

This report highlights QRAA's 2015-16 achievements, performance and financial position.

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Interpreter service statement

As a Queensland Government agency, we are committed to providing accessible services to all Queenslanders from culturally and linguistically diverse backgrounds. If you have difficulty in understanding the Annual Report, you can contact us on Freecall 1800 623 946 and we will gladly arrange an interpreter to effectively communicate this report to you.

Public availability and feedback

A copy of this Annual Report and a checklist outlining our compliance with the annual reporting requirements can be accessed at www.qraa.qld.gov.au/about-qraa/publications/annual-report.

For further information or to provide feedback on this report, please contact us:

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To the Minister

14 September 2016

The Honourable Ms Leanne Donaldson
Minister for Agriculture and Fisheries
GPO Box 46
Brisbane QLD 4001

Dear Minister

I am pleased to present QRAA's Annual Report for 2015-2016. This report summarises QRAA's activities, corporate achievements and financial position for 2015-16.

The Report has been endorsed by the QRAA Board of Directors as an accurate representation of QRAA's performance for 2015-16 and is compliant with:

- the prescribed requirements of the *Rural and Regional Adjustment Act 1994* (Qld), the *Financial Accountability Act 2009* (Qld) and the *Financial and Performance Management Standard 2009* (Qld).
- the detailed requirements set out in the Annual report requirements for Queensland Government agencies, as published by the Department of Premier and Cabinet.

A checklist outlining QRAA's compliance can be found at page 54 of this Annual Report or accessed at www.qraa.qld.gov.au/about-qraa/publications/annual-report.

Yours sincerely,

Wayne Carlson
Chairperson

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Our year in review

Chief Executive Officer's report

Organisation highlights

Following the retirement of QRAA's former Chief Executive Officer, Colin Holden, I joined QRAA in August 2015. Looking back, there is much to be proud of in 2015-16.

As at 30 June 2016, QRAA had approved over 1,220 applications totalling more than \$124 million in financial assistance across all loan, grant and rebate schemes administered in 2015-16. This compares with approvals of over 1,015 applications totalling \$154 million in 2014-15.

Our loan portfolio increased by over \$14 million, taking the total value of the loan book to more than \$553 million as at 30 June 2016. This represents 2,279 active loans involving 1,805 unique clients. Despite the expansion, loan arrears remained extremely low at 0.55 per cent - demonstrating the resilience of our client base and the success of QRAA's personal approach to loan and arrears management.

Every member of the QRAA team recognises the importance of delivering a timely and efficient application processing service. We are also committed to best practice and value for money service delivery. In 2015-16, QRAA processed 96 per cent of applications within the standard response time set for each scheme. This is a great result, exceeding the annual target of 85 per cent and ensuring funds approved reached those in need without delay.

QRAA has positioned itself as a leader in the delivery of government loans and grants across Australia. As at 30 June, nine new fee-for-service engagements had been secured including the delivery of new five and 10 year concessional loans schemes funded by the Australian Government. New business opportunities secured in 2015-16 generated over \$2 million in fee for service revenue – supporting QRAA's future sustainability.

In 2015-16, QRAA realised an overall surplus of \$16.7 million. This surplus is largely due to principal and interest repayments of \$14.1 million from the Primary Industry Productivity Enhancement Scheme (PIPES). The surplus achieved is quarantined and fully committed to supporting new loan and grant approvals in 2016-17. None of this revenue will be used to support QRAA's future operational expenses.

Program highlights

Primary Industry Productivity Enhancement Scheme (PIPES) – funded by the Queensland Government

As at 30 June 2016, 193 concessional loan applications totalling more than \$64.5 million had been approved to emerging or existing primary producers. With the approval of the Queensland Minister for Agriculture and Fisheries, the level of new lending exceeded the annual target set for the year, achieving a 26.5 per cent increase on 2014-15's net approvals (\$51 million from 162 approved applications).

In 2015-16 the average age of PIPES loan clients was under 46 years of age. This dropped to an average of 35 years for First Start Loan clients. This is a truly inspiring result – and

highlights the tangible support being offered to Queensland's next generation of farming families.

Natural Disaster Relief and Recovery Arrangements (NDRRA) – jointly funded by the Australian and Queensland Government

As at 30 June 2016, QRAA had approved 766 applications totalling more than \$8.5 million to Queensland primary producers, business owners and non-profit organisations. This is compared to net approvals of \$4.6 million reported for 2014-15 and reflects the impact of Severe Tropical Cyclone Marcia and Tropical Cyclone Nathan.

Australian Government Concessional Loans Schemes

Across all Australian Government funded concessional loans schemes implemented to assist Queensland and Northern Territory producers with drought and drought recovery, 76 applications totaling more than \$42.6 million were approved. These schemes were initially due to close on 30 June 2016, however in response to the prolonged drought, the Australian Government extended the schemes' closing date to 31 October 2016. This extension and the sustained demand for the loans in Queensland also saw QRAA receive an additional \$15 million to support Queensland farm businesses.

Other new business

QRAA supported Fisheries Queensland by implementing a voluntary buy-back and two payment schemes to assist commercial fishers impacted by the introduction of net free zones in Central and Far North Queensland.

Two new consultancy contracts were secured in 2015-16 to support the Queensland Department of Natural Resources and Mines administer high-value agricultural clearing applications submitted under the *Vegetation Management Act 1999* (Qld).

The year ahead

Announcements made during the Queensland State Budget are expected to deliver significant changes to QRAA and our service offering in 2016-17. Proposed developments include:

- improving and enhancing PIPES to ensure it remains accessible and relevant to Queensland's farming families
- introducing a new QRAA-administered grants scheme to support farm management and succession.
- renaming QRAA as the Queensland Rural and Industry Development Authority (QRIDA) and expanding our scope
- introducing a legislated farm debt mediation process to be administered by QRIDA.

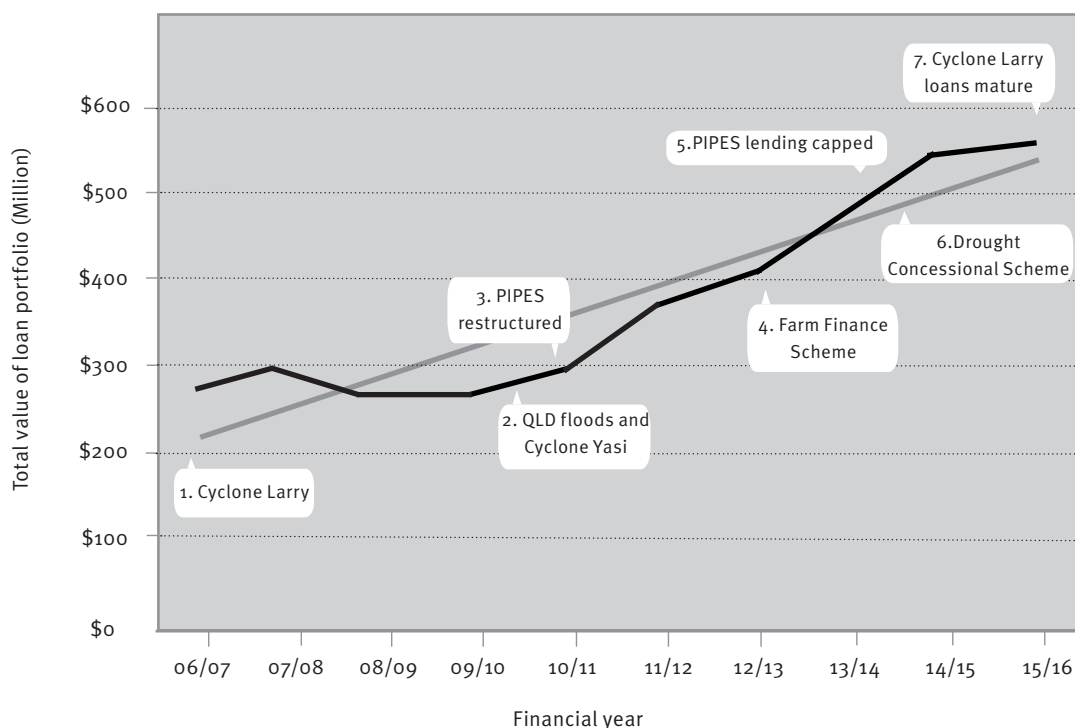
QRAA has welcomed the proposed changes as they will enhance our role in supporting Queensland's rural and regional sector.



Cameron MacMillan
Chief Executive Officer

10 year snapshot

Growth of QRAA Loan Portfolio



Legend

1. Severe Tropical Cyclone Larry crossed the north Queensland coast on 20 March 2006. Fortunately, no lives were lost and no serious injuries were reported. Natural Disaster Assistance loans of up to \$500,000 were made available for primary producers. Overall, 734 loans totalling more than \$106 million were approved.
2. From December 2010 to January 2011, widespread flooding devastated much of Queensland – three quarters of local government areas within the state were declared disaster zones, and 38 people lost their lives. It was soon followed by Severe Tropical Cyclone Yasi, which made landfall in north Queensland on 3 February 2011. To help Queensland primary producers, small businesses and non-profit organisations recover from the damage, six new financial assistance programs were activated, ranging from grants of up to \$25,000 to loan/grant packages of up to \$650,000. More than \$349 million was approved under these schemes.
3. In 2010, financial assistance products under PIPES were restructured to create the modern-day First Start and Sustainability Loans. The maximum loan amount was also increased from \$500,000 to \$650,000.
4. The Farm Finance Concessional Loans were opened for application on 16 August 2013. Funded by the Australian Government, loans of up to \$1,000,000 were available to help producers restructure their debt. QRAA was responsible for administering this scheme in both Queensland and the Northern Territory. When the loans closed to applications in June 2015, QRAA had approved 122 loans between the two states, totalling more than \$74.5 million.
5. The Australian Government funded Drought Concessional Loans Scheme 2014-15 opened to applications on 5 June 2014. Loans of up to \$1 million were available to drought affected primary producers in Queensland and the Northern Territory. The first round of this scheme closed on 30 June 2015 with 147 loans approved totalling over \$87 million. The 2015-16 scheme opened on 9 October 2015.
6. To help ensure PIPES could continue to be funded through QRAA's internal reserves, a limit on new lending was introduced from 1 July 2014. This limit is set by the Minister and for 2014-5 and 2015-16 the limit was set at \$60 million. Sustained demand saw the Minister relax this limit for 2015-16. It is proposed that this lending limit be increased to \$100 million for 2016-17.
7. In 2016, 10 years after Severe Tropical Cyclone Larry struck and assistance schemes were opened, many Natural Disaster Assistance Loans came to maturity. This reduced the overall number of accounts in QRAA's loan book but marked an important and welcome milestone in the state's recovery.

— Total number — Trend line

Our organisation

About us

Who we are

QRAA is a statutory authority of the Queensland Government, established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries.

What we do

QRAA is a specialist administrator of government financial assistance programs including loans, grants, rebates and subsidies.

QRAA’s core responsibility is to administer the Queensland Government’s Primary Industry Productivity Enhancement Scheme (PIPES) and when required, support the delivery of *Natural Disaster Relief and Recovery Arrangement* (NDRRA) assistance for primary producers, small businesses and non-profit organisations (jointly funded by the Queensland and Australian Governments).

QRAA’s vision is to be the preferred provider of financial assistance programs across government through its strategic goals of business sustainability, service excellence and business capability. Our goals and strategic direction contribute to the Queensland Government’s objectives for the community by creating jobs and a diverse economy and building safe, caring and connected communities. QRAA demonstrates this by:

- providing assistance to primary producers, small businesses and other elements of the state’s economy
- fostering the development of a more productive and sustainable rural and regional sector in Queensland.

Through the assistance programs we administer, QRAA contributes to Queensland Government’s objectives for the community by ensuring integrity, accountability and consultation in everything we do.

The Rural and Regional Adjustment Act 1994 (Qld) enables QRAA to deliver additional programs and services to local, state and territory governments throughout Australia and for the Australian Government.

QRAA’s administrative services are complemented by a network of Client Liaison Officers located in Bundaberg, Innisfail, Kingaroy, Emerald, Mackay, Rockhampton, Roma and Toowoomba, as well as remote loans assessors. Brisbane-based staff also take part in regional outreach activities including visiting clients and communities across the state.

Our values

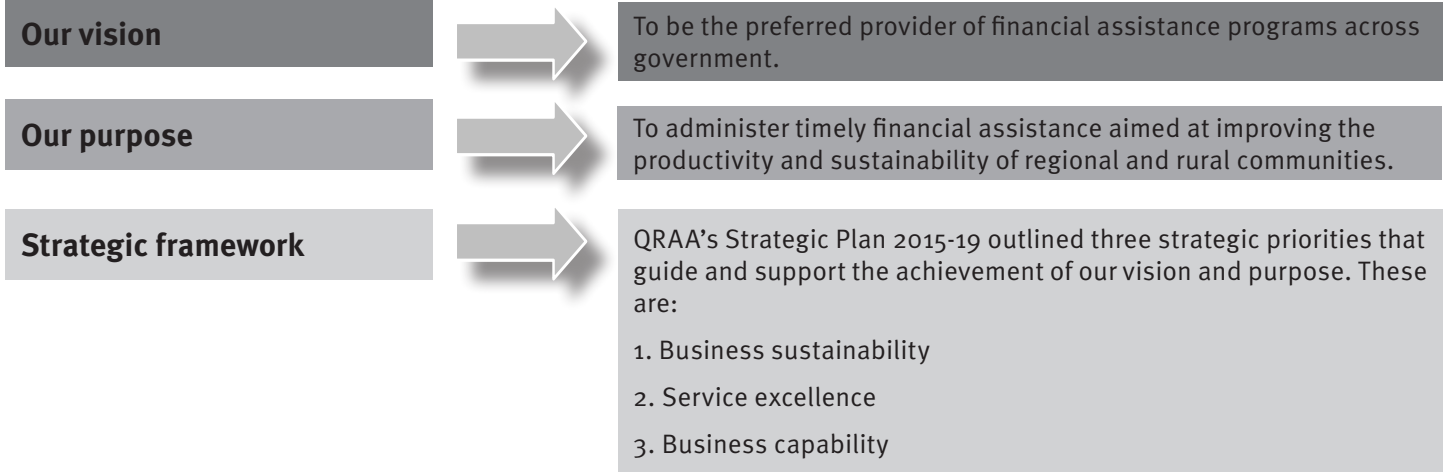
QRAA’s operations are governed by its commitment to six core values:

- *Continual improvement*
- *Equity*
- *Integrity*
- *Responsibility*
- *Respect and recognition*
- *Harmony and satisfaction*

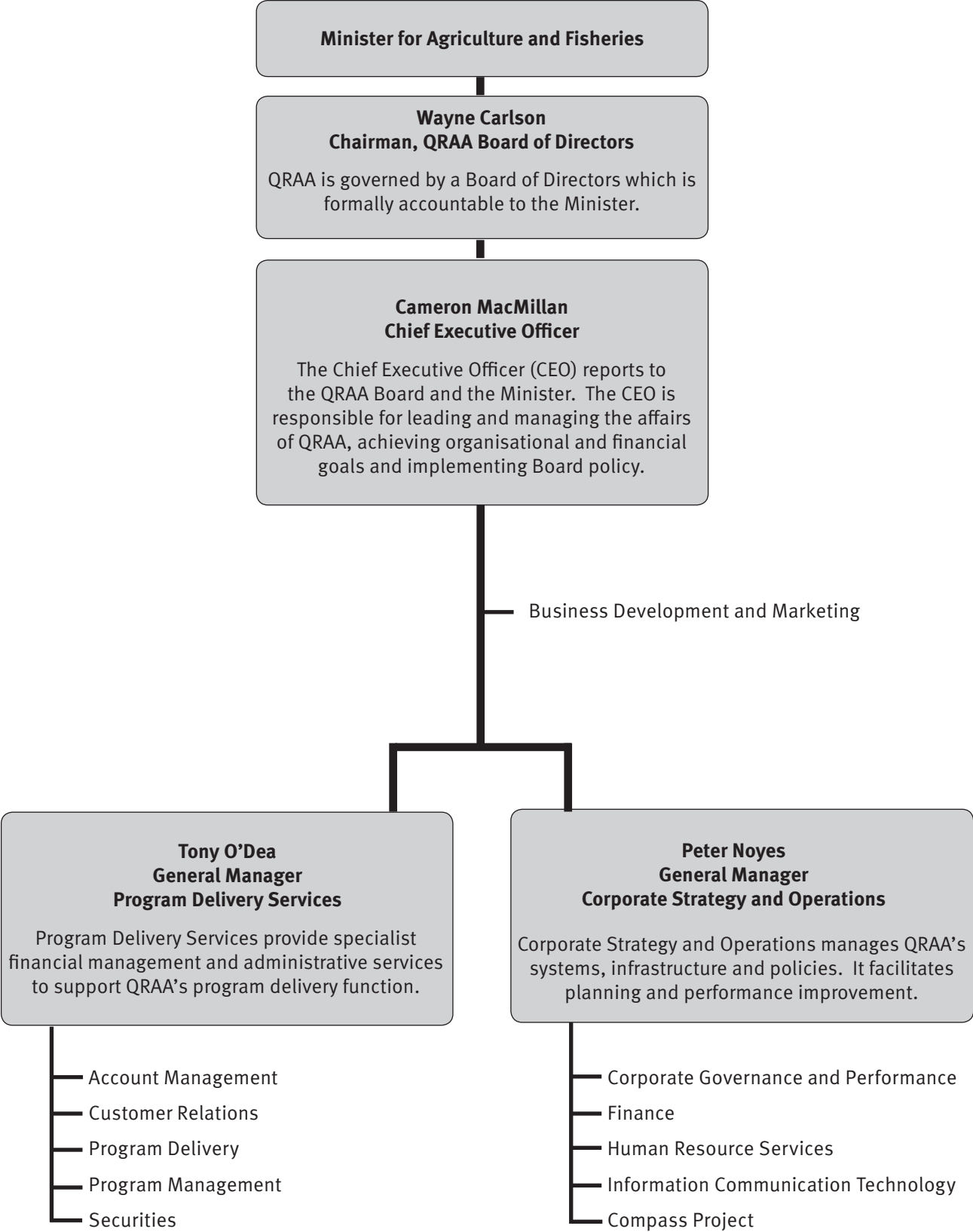
Our planning

In our strategic planning process, we take into consideration environmental scanning including strategic risks, opportunities and challenges to help identify our key strategies to support our ongoing operating environment.

QRAA also considers the Queensland Government priorities and public service values in forming these strategies.



Organisational structure



Corporate governance

QRAA Board of Directors

QRAA's Board of Directors (the Board) is responsible for the way QRAA performs its functions and exercises its powers as established in the *Rural and Regional Adjustment Act 1994* (Qld).

The Board consists of seven directors including representatives from Queensland industry as well as the Queensland Department of Agriculture and Fisheries (QDAF) and Queensland Treasury.

Directors are appointed for a term no longer than three years. This appointment can end at any time as directed by the Governor in Council. A director is appointed on a part-time basis and is entitled to the remuneration and allowances fixed by the Governor in Council.

The Board is formally accountable to the Minister for Agriculture and Fisheries. During 2015-16, the Board reported to the Minister on a quarterly basis.

Under the Act, the Board must meet at least once every three months. The Board met 10 times during 2015-16. Achievements of the Board in this time include:

- contributing to the development and approving the four year QRAA strategic plan
- approving six operational, administrative and financial policies
- ensuring QRAA performed its functions properly, effectively and efficiently
- coordinating the recruitment of the new QRAA Chief Executive Officer (CEO)
- completing the annual performance review of the CEO.

Board committees

The Board has two sub-committees that support its decision-making. These are the Audit and Risk Management (A&RM) Committee and the Remuneration Committee.

Audit and Risk Management Committee

The A&RM Committee consists of three directors with the QRAA Chairperson and QRAA CEO attending as ex-officio members. The Committee met five times during 2015-16.

The Committee undertook independent reviews during 2015-16 to improve QRAA's operations and outputs and advised the QRAA Board on:

- financial statements
- risk management
- internal controls
- performance management
- internal and external audit
- compliance
- reporting.

Remuneration Committee

The Remuneration Committee includes two directors and meets on an annual basis, with the QRAA CEO attending as an ex-officio member.

Position	Name	Meetings Attended of Eligible	Approved annual fee	Approved sub-committee fee (includes A&RM and remuneration committee)	Actual Fees Received (ex. super)
Chairperson	Wayne Carlson	16/16	\$42,000	\$1,700 (Remuneration Committee)	\$43,700
Director	Warwick Agnew*	13/15	-	-	-
Director	Christopher Hood	10/10	\$12,000	-	\$12,000
Director	Georgina Somerset	13/13	\$12,000	\$1,700 (Remuneration Committee)	\$12,987
Director	Dugald Warby	14/15	\$12,000	\$1,700 (A&RM Committee)	\$13,700
Director	Elton Miller*	5/5	-	-	-
Director	Belinda Turner	7/8	\$12,000	\$1,700 (A&RM Committee)	\$7,181
Director	Dr Elizabeth Woods*	2/5^	-	-	-
Director	Damian Morgan	1/3	\$12,000	-	\$3,231

Number of meetings scheduled including Sub Committee meetings: 16

Total out of pocket expenses: \$12,358.35 (this consists of mileage allowances (\$8,185.00) and accommodation for the night prior to Board Meeting (\$4,173.35)).

*No fees are paid to Queensland Government representatives

^ Dr Elizabeth Woods was eligible to attend five meetings. She attended two meetings, and three were attended on her behalf by a proxy.

For Board members' dates of joining/leaving, see page 49

Corporate governance (cont.)

Measuring performance

Organisational performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting processes and are subject to endorsement by the Minister.

Organisational performance is monitored and reported against strategies and performance indicators set out in QRAA's Strategic Plan.

Refer to pages 12-13 for a summary of QRAA's 2015-16 performance.

Risk management

QRAA's risk management framework is aligned to *AS/NZS/ISO 31000:2009 Risk Management Standard* which provides guidance to staff to implement risk management practices and facilitate an active and high-performing risk management culture.

A risk management reference group, comprised of representatives of QRAA's business units, assists and supports the Senior Executive Team (SET) and the A&RM Committee maintain an integrated risk management approach to:

- promote and further develop the risk management framework and act as risk champions to foster a culture of risk awareness and management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines
- effectively manage, monitor and review risk exposures and treatments
- promote emergency and business continuity management preparedness
- review fraud and corruption management practices and controls
- identify emerging risks and opportunities and develop appropriate action plans to manage those risks and opportunities.

Strategies that supported successful risk management in 2015-16 included:

- management of the QRAA strategic and operational risk register, incorporating the status of risk treatments (reviewed quarterly by SET, A&RM Committee and the Board)
- implementation and reinforcement of the principles of QRAA's risk management framework and risk management guidelines and tools to improve accessibility and enhance employee engagement
- developing further strategies to enhance people, asset and information security risks

- enhancement of the documentation associated with risk management considerations when undertaking travel
- further refining frameworks to monitor organisational compliance with key legislation including training on interpreting legislation
- annual testing of QRAA's emergency and business continuity management preparedness.

Internal audit

Deloitte Touche Tohmatsu (Deloitte) provided internal audit services during the year. This internal audit function assisted QRAA in achieving strategic goals by providing an independent review of identified areas.

The reviews undertaken in 2015-16 included:

- corporate credit card practices including the management of the business travel account
- Service Level Agreements for the delivery of the Drought Concessional Loans Scheme
- contract management.

All final reports were considered by the A&RM Committee.

Outcomes of the reviews highlight QRAA's commitment to providing value for money, while the recommendations confirm QRAA's adoption of better practice in administration.

External scrutiny

During 2015-16, QRAA responded to a request for information to support the Australian National Audit Office performance audit of the Australian Department of Agriculture and Water Resources' establishment and administration of the Farm Finance and Drought Concessional Loans schemes.

This review invited responses on program design and planning for implementation, program delivery, monitoring and reporting on program performance.

The subsequent report can be found at www.anao.gov.au.

Ethical standards

QRAA requires all directors, managers and employees to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

The QRAA Code of Conduct requires officers to:

- act with integrity and impartiality, ensuring high standards of workplace behaviour and personal conduct
- promote the public good through excellence in customer service, community engagement and working with other agencies

Corporate governance (cont.)

- commit to the system of government through conscientious service to QRAA and government
- act with accountability and transparency to support high standards of administration.

All new appointees to QRAA provide a statement indicating that they have read and understood the QRAA Code of Conduct. Every second year all staff acknowledge their understanding of the Code of Conduct and responsibilities as an ongoing reinforcement of ethical standards. This acknowledgement process was completed in 2015-16. All QRAA policies and procedures are referenced to the Code of Conduct and are made available to staff via the QRAA intranet. Internal communications support ongoing awareness, understanding and compliance.

To support the QRAA Code of Conduct and to further strengthen connectivity with the *Public Sector Ethics Act 1994* (Qld), QRAA continued to strengthen this commitment by also reviewing and enhancing policies relating to fraud and corruption practices and public interest disclosure policies.

Policy framework

During 2015-16, QRAA continued to focus on the development and review of its corporate policies and procedures in line with a three-year cyclical work plan. This ensured ongoing connectivity with legislation and government directives, audit outcomes and best practice.

Policies and procedures approved by the Board and/or the Senior Executive Team are made available on the QRAA intranet and implemented with the support of education and training, monitoring and review mechanisms.

During 2015-16, a total of 13 policies, procedures, guidelines and frameworks were developed, reviewed and approved.

Information systems and recordkeeping

Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* (Qld) and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

During 2015-16, key activities to support the ongoing achievement of compliance included:

- development of an initial business case for the implementation of an Electronic Documents and Records Management System (EDRMS)
- preliminary procurement activities for an EDRMS including the development of a business requirements document, undertaking market sounding and the evaluation of proposals
- continuing preparation work for the implementation of an EDRMS

- consideration of recordkeeping compliance requirements relating to the launch of an online application portal, a new credit card management system and a refreshed social media policy and procedure.

Information and Communications Technology (ICT) review

Implementation of the three year ICT Implementation Plan continued during 2015-16. This included commencement of an ICT modernisation strategy to transition QRAA's ICT infrastructure and major business systems to cloud based technologies.

An external security review was also undertaken by Datacom TS during 2015-16. The refreshed ICT security road map and implementation plan arising from this review has and will continue to ensure QRAA's maintains appropriate security standards and practices.

Compass Project

Activities to support the procurement of a new Loans and Grants Administration System continued during 2015-16 - renamed by QRAA staff as the COMPASS project.

A further market sounding on potential solutions and a refresh of QRAA's future business requirements was completed in 2015-16. QRAA remains committed to ensuring its software solutions are both robust and flexible to meet future requirements.

Open data

Details of QRAA's consultancies are published through the Queensland Government's Open Data website (www.data.qld.gov.au).

QRAA did not engage in any overseas travel in the 2015-16 year.

QRAA is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. The Department of Immigration and Citizenship's National Translating and Interpreting Service was utilised twice in 2015-16.

Right to information

The Right to Information Act 2009 (Qld) (RTI Act) is the Queensland Government's approach to providing the community with access to information controlled by the government.

QRAA supports the principles of the RTI Act by operating in an open, transparent and accountable manner while protecting the privacy of clients and staff.

QRAA provides access to information in accordance with the legislation, as well as publishing available information on the QRAA website.

Corporate governance (cont.)

During 2015-16, QRAA received two new requests for access to information in accordance with the RTI Act. Given the nature of the information, QRAA was not required to provide a disclosures log.

Information privacy

The Information Privacy Act 2009 (Qld) (IP Act) gives all members of the public a legally enforceable right to access and amend their personal information. The IP Act also requires QRAA to safeguard the personal information it holds and only disclose such information to the individual that the information relates to, or where consent has been provided or where required and authorised under law.

During 2015-16, QRAA did not process any requests for personal information in accordance with the IP Act.

Work health and safety

QRAA is committed to providing a work environment that is conducive to protecting the health, safety and well-being of QRAA workers and visitors to the workplace. QRAA is bound by the *Work Health and Safety Act 2011* (Qld) (WHS Act), *Work Health and Safety Regulation 2011* (Qld) and relevant Codes of Practice.

In applying due diligence in compliance with the Act, QRAA conducts quarterly Health and Safety Committee meetings and outcomes include the updating of procedures and forms as well as the procurement of necessary equipment that supports the safe workplace environment.

In 2015-16, all staff undertook refresher training on building and evacuation processes. New employees were informed about the WHS Act and QRAA Work Health and Safety Policies and Procedures through induction programs.

QRAA's Human Resource Services unit has an active workplace rehabilitation and return to work system that assists injured or ill employees to return to work in mutually beneficial arrangements. In 2015-16 QRAA's rehabilitation caseload has remained at traditionally low levels with no significant expense or lost time cases under management.

To support the wellbeing of QRAA staff, influenza vaccinations were again offered to all staff prior to the onset of winter, with 58 per cent participating in the program (an increase of 5 per cent on the 2014-15 participation rate).

QRAA workforce profile

QRAA staff provide a strong foundation for the effective administration of financial assistance programs.

QRAA's staffing levels and resources are highly flexible and are maintained at optimal levels, appropriate to business need.

As at 30 June 2016, QRAA employed 79.45 full-time equivalent (FTE) staff, a negligible change from the 2015-16 budget of 80 FTE staff. A comparative breakdown of staff numbers is shown below.

The permanent officer separation rate for this period was 9.3 per cent. The permanent officer retention rate was 90.7 per cent.

QRAA employees by employment type (as at 30 June 2016)

	2014-15	2015-16	MOVEMENT
Permanent	68.8	69.85	↑
Temporary	14	9.6	↓
Casual	0.4	0	↓
Total (FTE)	83.2	79.45	↓

QRAA employees (as at 30 June 2016)

	2014-15	2015-16	MOVEMENT
Management (Ao7 and above)	15	14	↓
Professional (Ao5/6/7)	48	44.48	↓
Administrative (to Ao4)	20.2	20.97	↑
Total (FTE)	83.2	79.45	↓

Recruitment

During 2015-2016, two Senior Executives were recruited to fill the contract positions of Chief Executive Officer and General Manager, Corporate Strategy and Operations. Action was also taken to transition the existing General Manager, Program Delivery Services from a tenured position to a senior executive contract – ensuring alignment with Queensland Government policy requirements.

Minimal permanent officer turnover occurred in 2015-16. Any external recruitment activity related to the customary turnover of staff and/or to support new business.

The voluntary turnover rate was 4.54 per cent, down from 6.22 per cent and 7.55 percent in 2014-15 and 2013-14 respectively. This is an excellent result which has enabled QRAA to retain talent and intellectual property, and demonstrates the success of QRAA's employee retention and engagement strategies.

In 2015-16, QRAA continued to proactively respond to the challenge of sourcing experienced and specialised financial assessment capability from a diminishing talent pool. As part of an ongoing succession planning strategy, two interns with financial skills and rural expertise were recruited. This initiative has bolstered QRAA's diversity of talent and supported organisational capability and flexibility.

QRAA workforce profile (cont.)

Professional development

In 2015-16, many staff undertook skill development programs related to their field of expertise via tailored training courses, online programs, and external tertiary studies. QRAA also recognises the importance of on-job learning and has continued to support and encourage staff rotations, relief arrangements and secondment opportunities. Additionally, QRAA developed a formal coaching and mentoring program that has enabled tailored capability development - contributing to QRAA's succession planning objectives.

QRAA's emerging middle-managers and team leaders completed a four day 'Emerging Leaders' training program conducted by the Australian Institute of Management (AIM) during 2015-16. The program provided valuable learnings for the participants who, as a result, have committed to using the information learned to support ongoing leadership development at individual, team and organisational levels.

Following the success of this program, similar training titled Leadership Exploration and Development (LEAD) has been initiated for other key influencers and emerging leaders. This training commenced in 2015-16 and will continue in the 2016-17 financial year.

Performance and development plans

QRAA's staff Performance and Development Plan (PDP) process commences in July each year. QRAA continues to achieve a 100 per cent completion rate for the bi-annual review cycle.

During 2015-16 QRAA's Human Resource Services commenced a review designed to modernise the process and heighten QRAA's 'performance culture.' The outcome will enable a strong focus on achieving deliverables against key performance indicators and behavioural competencies, as well as matching employee training and development to business requirements and QRAA's strategic direction.

Industrial and employee relations

QRAA transitioned to a new whole-of-government public sector award as a result of the modernisation process undertaken by the Queensland Industrial Relations Commission.

QRAA's consultative employee relations framework provided a mechanism to successfully address any employee concerns during this process. No formal concerns or grievances were received during the year.

The award transition process has created an ongoing policy and procedure review program to ensure QRAA's employee relations practices remain contemporary and compliant with modern industrial relations.

Agile, flexible and healthy workforce

QRAA values its staff and strives to support quality work-life balance, with a suite of available options for staff to alter their working arrangements while maintaining a high level of service.

QRAA has processes in place to support a range of flexible working arrangements including compressed working weeks, part-time arrangements, job rotations, job sharing and transition to retirement strategies.

To maximise capability deployment, QRAA has developed a formal working from home employment option that was successfully trialled during 2015-16.

In 2015-16 QRAA launched a new wellness program. This program is information-based and facilitates employee access to seminars, lifestyle advice, healthy eating and drinking advice, preventative health education sessions and sporting/fitness programs.

Workforce plan

QRAA's three year Workforce Plan commenced in August 2014 to provide a pathway for QRAA to achieve a flexible and agile workforce that can meet current and future work demands.

As at 30 June 2016, 15 initiatives had been completed. These included the implementation of a new coaching and mentoring framework, an enhancement of QRAA's ability to meet emergent program-based work requirements, and development of QRAA's transition to retirement strategies.

Looking ahead

QRAA remains well positioned and responsive to emerging government priorities including a range of proposed developments announced during the 2016-17 Queensland State Budget.

As always, QRAA will continue to improve our people, processes and system capability to ensure we can efficiently respond to workload demands, emerging new business opportunities and/or future natural disaster events.

Our performance

Organisational performance summary

Our priorities	Our objectives	Measuring performance
1. <i>Business sustainability</i>	Optimise the Primary Industry Productivity Enhancement Scheme	Loan portfolio targets met
		Maintain total arrears within target levels*
	Position ourselves to be responsive to new business opportunities	Level of new business opportunities
	Maintain business viability	Negative or nil variance against operating expenditure performance
		Positive or nil variance against operating revenue performance
2. <i>Service excellence</i>	Maintain and continuously improve the quality and timeliness of service delivery to meet the needs of our external and internal stakeholders	Level of stakeholder satisfaction with service delivery
		Level of stakeholder satisfaction with administration of financial assistance programs managed on their behalf*
	Achieve leadership position within government for the delivery of financial administration schemes	Percentage of applications processed within agreed service delivery timeframes and within budget*
		Number of active loans per Service Delivery FTE*
3. <i>Business capability</i>	Improve organisational efficiency and performance	Benefits realised from system improvements
	Manage our corporate governance frameworks to demonstrate our transparent service delivery and decision making models	Compliance with QRAA's governance frameworks
	Implement the QRAA Workforce plan 2014-2017	Workforce profile
	Engender a professional and engaged workforce	Staff satisfaction

* Service standards included within Performance Statement of the 2014-15 Queensland State Budget - Service Delivery Statements.

✓ ACHIEVED ✗ NOT ACHIEVED

2015-16 target/ estimate	2015-16 actual	Commentary	2016-17 Target/ Estimate
100% of annual target	107.5%	✓ Net approvals, incorporating cancellations and adjustments, totalled \$64.5 million in 2015-16. The annual target was \$60 million.	100%
<1.5%	0.55%	✓ Arrears remained well below the performance target.	<1.5%
3	9	✓ QRAA secured nine new fee for service arrangements this year, generating revenues of \$1.7 million for 2015-16.	4
Yes	Yes	✓ Operational expenditure remained under budget for 2015-16.	Yes
Yes	No	✗ Income was lower than budgeted due to a lower than expected balance of loans and advances and a lower than expected interest rate on some programs.	Yes
80%	87%	✓ Biennial targets were exceeded in early 2015. The next Client Satisfaction Survey is due to be facilitated in 2016-17.	80%
100 %	100%	✓ Biennial targets were met in early 2015. The next Program Owner survey is due to be facilitated in 2016-17.	100%
85%	96%	✓ QRAA's high service standards were strengthened this year with target service delivery timeframes well exceeded.	85%
55	47.5	✗ Due to the timing of the finalisation of existing loan programs, for example Severe Tropical Cyclone Larry, the volume of loans is currently reduced. The prevailing weather conditions and the need for a high level of attention on these loans impacted on the result.	55
100%	Not available	✗ The Compass project is still in progress and benefits are unable to be measured at this stage.	100%
Timeframes achieved	Timeframes achieved	✓ Compliance of the governing frameworks, policies and plan for compliance, risk management, internal audit and delegations were achieved.	Timeframes achieved
100% of recommendations completed	100%	✓ All initiatives scheduled for 2015-16 were completed. The three year plan activities continue to be reviewed and rationalised.	100%
80%	91%	✓ Targets were exceeded. The next staff satisfaction survey is due to be facilitated in 2016-17.	80%

Service delivery portfolio

Program owner	Program/service delivery	Purpose of program/service
Productivity enhancement		
Queensland Government	First Start 2010 *	Provide loans at concessional interest rates to an applicant in the first years of establishment of a primary production enterprise in Queensland.
	Sustainability 2010 *	Provide loans at concessional interest rates to primary producers to implement systems and management practices that enhance sustainable primary production in Queensland.
Natural disaster		
Australian and Queensland Governments <i>(Natural Disaster Relief and Recovery Arrangements)</i>	Natural Disaster Assistance Individually Disaster Stricken Properties	Assist in meeting the recovery needs of Queensland primary producers affected by isolated disaster events outside of activated Local Government areas.
	Natural Disaster Assistance Tropical Cyclone Oswald*	Assist affected Queensland primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Special Disaster Assistance Tropical Cyclone Marcia*	Assist affected Queensland primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Tropical Cyclone Marcia*	Assist affected primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Essential Working Capital [^]	Assist affected Queensland primary producers and small businesses pay for essential working capital expenses arising out of direct damage.
Financial resilience		
Australian Government	Farm Finance Concessional Loans Scheme (Queensland)	Assist to build the ongoing financial resilience of Queensland farm businesses.
Northern Territory Government	Farm Finance Concessional Loans Scheme (Northern Territory)	Assist to build the ongoing financial resilience of Northern Territory farm businesses.
Drought and drought recovery		
Australian Government	2014-15 Drought Concessional Loans Scheme (Queensland)	Assist Queensland farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
	2015-16 Drought Concessional Loans Scheme (Queensland)*	Assist Queensland farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
Northern Territory Government	2014-15 Drought Concessional Loans Scheme (Northern Territory) [^]	Assist Northern Territory farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
	2015-16 Drought Concessional Loans Scheme (Northern Territory) [^] #	Assist Northern Territory farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
Australian Government	2014-15 Drought Recovery Concessional Loans Scheme	Assist drought affected farm businesses in need of financial assistance, including those affected by the mid-2011 imposed disruption to live cattle exports.
	2015-16 Drought Recovery Concessional Loans Scheme*	Assist drought affected farm businesses in need of financial assistance, including those affected by the mid-2011 imposed disruption to live cattle exports.
Adjustment		
Queensland Government	Queensland East Coast Commercial Net Fishing Reduction Scheme	Make the Queensland East Coast net fishery more sustainable by the voluntary surrender of relevant licences and fishery symbols.
	Net-Free Fishing Zones - Impact Alleviation Scheme [#]	Provide financial assistance to the commercial fishers most affected by the introduction of the net-free fishing zones.
	Net-Free Fishing Zones - License Buyback Scheme [#]	Buy back particular commercial fishing licenses.
	Net-Free Fishing Zones - Settlement Scheme [#]	To assist commercial fisher in transitioning their business following the establishment of the net-free fishing zones.
	Fisheries compensation	To provide conclusions concerning claims for compensation under the <i>Fisheries Act 1994</i> (Qld)
Other		
Queensland Government	Queensland Government Hendra virus PPE Rebate Scheme	Assist in offsetting the purchase price of prescribed personal protective equipment (PPE) for eligible veterinary surgeons who may be at significant risk of being exposed to the Hendra virus.
	Bovine Johne's Disease Assistance Scheme	Assist eligible applicants who have suffered financial loss because of the slaughter of cattle, or alternative supply actions affecting cattle, related to the occurrence of Bovine Johne's Disease in Queensland.
	Queensland Cattle Industry Biosecurity Fund	Support the delivery of assistance schemes in response to disease outbreaks affecting the Queensland cattle industry.
	High-value Agriculture Clearing Applications – business plan reviews [#]	To provide conclusions on the financial viability of high value agriculture applications under the <i>Vegetation Management Act 1999</i> (Qld).
	High-value Agriculture Clearing Applications - minor expansion checklist [#]	Development of expansion checklist for minor high value agriculture clearing development applications under the <i>Vegetation Management Act 1999</i> (Qld).
	Emergency Water Infrastructure Rebate (EWIR) audit	A sample audit performed for the Department of Agriculture and Fisheries of payments made under EWIR to verify claims were used in accordance with application approvals.

* 2014-15 figures have been amended to reflect cancellations and adjustments that occurred during 2015-16. Figures are accurate as at 30 June 2016.

[^] This program was open for applications in 2015-16 but none were received.

Support available	Application approvals					
	2014-15	2015-16	2014-15	2015-16	Variance	Status
Maximum loan amount of \$650,000	70	81	\$27,963,685	\$31,808,202	15.7%	Open
Maximum loan amount of \$650,000	85	112	\$20,198,874	\$32,669,138	31.8%	Open
Loan up to \$250,000	-	1	-	\$71,000	100%	Open
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package up to \$105,000 for non-profit organisations	1	-	\$60,000	-	-100%	Closed
Grant up to \$25,000	517	671	\$3,645,533	\$8,260,949	29.8%	Closed
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package up to \$105,000 for non-profit organisations	2	4	\$313,259	\$212,500	100%	Open
Loan up to \$100,000 for primary producers and small businesses	-	-	-	-	N/A	Open
Loan less than 50% of eligible debt to a maximum of \$1,000,000	18	1	\$8,613,200	\$725,000	-94.4%	Closed
Loan less than 50% of eligible debt to a maximum of \$1,000,000, with a minimum of \$100,000	1	1	\$220,000	\$1,000,000	-	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	130	11	\$76,856,378	\$6,085,100	-91.5%	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	40	-	\$27,108,450	100%	Open
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	-	-	-	-	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	-	-	-	-	Open
Loan up to 50% of eligible debt to a maximum of \$1,000,000	8	4	\$2,813,200	\$445,000	-50%	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	21	-	\$9,033,850	100%	Open
Payment of prescribed amounts to commercial fishers for the surrender of licence symbols or full licence packages.	47	-	\$5,000,000	-	-100%	Closed
Payment of prescribed amounts for the surrender of relevant licences and fishery symbols.	-	30	-	\$1,500,018	100%	Open
Payment of prescribed amounts for the surrender of relevant licences and fishery symbols.	-	27	-	\$3,318,000	100%	Open
Payment of prescribed amounts to commercial fishers impacted by the prohibition of net-fishing in the net-free zones.	-	87	-	\$1,026,500	100%	Open
Review of claims submitted for compensation, and provision of comprehensive reports providing conclusions on eligibility and the amount payable for individual	N/A	N/A	N/A	N/A	N/A	N/A
a) Rebate of \$250 for each eligible veterinary surgeon employed in a veterinary practice for the initial purchase of prescribed PPE; and b) Rebate of \$250 for the purchase of prescribed PPE payable after an approved test of a suspected Hendra virus infection sample has been completed.	67	113	\$36,812	\$194,943	68.7%	Closed
Grant to a combined maximum of \$200,000 under the direct market assistance, supply chain pathway assistance and short term quarantine assistance components of the scheme .	52	16	\$1,524,821	\$835,459	-69.2%	Closed
Administer and manage fund.	N/A	N/A	N/A	N/A	N/A	N/A
Review of business plans submitted with high-value agriculture clearing applications and provision of assessment reports to the Queensland Government.	N/A	N/A	N/A	N/A	N/A	N/A
Provision of an expansion checklist for inclusion in departmental internal work practices.	N/A	N/A	N/A	N/A	N/A	N/A
Audit service.	N/A	N/A	N/A	N/A	N/A	N/A

New fee for service arrangements

QRAA Financial Statements

For the financial year ended 30 June 2016

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For information in relation to QRAA's financial statements, please call 07 3032 0100 or contact_us@qraa.qld.gov.au or visit www.qraa.qld.gov.au.

QRAA statement of comprehensive income

for the year ended 30 June 2016

	Notes	2016 \$'000	2015 \$'000
Income from Continuing Operations			
Grants	3	28,287	18,605
Fees	4	1,479	2,600
Interest	5	36,599	37,465
Other revenue		9	2,106
Total Revenue		66,374	60,776
Gains on borrowings received at greater than fair value	13.1 & 14.1	2,874	15,885
Gain on impairment reversal	10.3	470	-
Gain on disposal of plant and equipment		-	83
Total Income from Continuing Operations		69,718	76,745
Expenses from Continuing Operations			
Employee expenses	6	9,384	9,385
Supplies and services	7	3,371	3,332
Grants and subsidies		15,558	9,916
Depreciation and amortisation	11 & 12	815	692
Loss on loans issued at greater than fair value	10.4	6,745	8,604
Impairment losses		-	974
Finance/borrowing costs	8	17,138	19,393
Total Expenses from Continuing Operations		53,011	52,295
Operating Result from Continuing Operations		16,707	24,450
Operating Result for the Year		16,707	24,450
Total Comprehensive Income		16,707	24,450

The accompanying notes form part of these statements.

QRAA balance sheet

for the year ended 30 June 2016

	Notes	2016 \$'000	2015 \$'000
Current Assets			
Cash and cash equivalents	9	137,343	227,090
Loans and advances	10	42,912	41,356
Receivables		110	818
Total Current Assets		180,364	269,264
Non-Current Assets			
Loans and advances	10	403,615	403,054
Property, plant and equipment	11	369	698
Intangible Assets	12	-	486
Total Non-Current Assets		403,984	404,238
Total Assets		584,348	673,502
Current Liabilities			
Payables		269	253
Unearned Revenue		6,965	6,094
Interest-bearing borrowings	13	17,197	118,484
Non-interest-bearing borrowings	14	8,332	11,741
Accrued employee benefits		2,317	2,454
Total Current Liabilities		35,080	139,027
Non-Current Liabilities			
Interest-bearing borrowings	13	172,992	168,955
Non-interest-bearing borrowings	14	36,624	42,540
Accrued employee benefits		101	136
Provisions		219	219
Total Non-Current Liabilities		209,936	211,850
Total Liabilities		245,016	350,877
Net Assets		339,332	322,625
Equity			
Contributed equity		137,652	137,652
Accumulated surplus		201,680	184,973
Total Equity		339,332	322,625

The accompanying notes form part of these statements.

Statement of changes in equity

for the year ended 30 June 2016

	Accumulated Surplus	Contributed Equity	TOTAL
	\$'000	\$'000	\$'000
Balance as at 1 July 2014	160,523	137,652	298,175
Operating result for the year	24,450	-	24,450
Total comprehensive income for the year	24,450	-	24,450
Balance as at 30 June 2015	184,973	137,652	322,625
Balance as at 1 July 2015	184,973	137,652	322,625
Operating result for the year	16,707	-	16,707
Total comprehensive income for the year	16,707	-	16,707
Balance as at 30 June 2016	201,680	137,652	339,332

The accompanying notes form part of these statements.

QRAA Statement of cash flows

for the year ended 30 June 2016

	Notes	2016 \$'000	2015 \$'000
Cash flows from operating activities			
<i>Inflows:</i>			
Grants		28,287	18,605
Fees		2,350	5,412
Interest received		26,349	28,199
GST input tax credits from ATO		371	589
GST collected from customers		28	196
Other		709	1,517
<i>Outflows:</i>			
Employee expenses		(9,500)	(9,271)
Supplies and services		(3,329)	(3,270)
Grants and subsidies		(15,558)	(9,916)
Finance/borrowing costs		(6,880)	(7,741)
GST paid to suppliers		(360)	(578)
GST remitted to ATO		(112)	(119)
Net cash provided by operating activities	CF-1	22,356	23,622
Cash flows from investing activities			
<i>Inflows:</i>			
Sales of plant and equipment		-	169
Loans and advances redeemed		77,645	86,954
<i>Outflows:</i>			
Payments for plant and equipment		-	(361)
Loans and advances made		(75,787)	(142,741)
Net cash provided by investing activities		1,858	(55,980)
Cash flows from financing activities			
<i>Inflows:</i>			
Interest-bearing and non-interest bearing borrowings		497	132,185
<i>Outflows:</i>			
Interest-bearing and non-interest-bearing borrowing redemptions		(114,458)	(38,984)
Net cash provided by (used in) financing activities		(113,961)	93,201
Net increase (decrease) in cash and cash equivalents		(89,747)	60,843
Cash and cash equivalents at beginning of financial year		227,090	166,246
Cash and cash equivalents at end of financial year	9	137,343	227,090

The accompanying notes form part of these statements.

QRAA Statement of cash flows

for the year ended 30 June 2016

NOTE TO THE STATEMENT OF CASH FLOW

CF-1 Reconciliation of operating result to net cash provided by operating activities

	2016 \$'000	2015 \$'000
Operating result	16,707	24,450
<i>Non-cash items included in operating result:</i>		
Depreciation and amortisation expense	815	692
Gain on disposal of plant and equipment	-	(83)
Loss/(gain) on impairment	(470)	1,085
<i>Change in assets and liabilities:</i>		
(Increase)/decrease in discount on borrowings received at greater than fair value	7,384	(4,367)
(Increase)/decrease in other receivables	708	(682)
Increase/(decrease) in accounts payable	16	62
Increase/(decrease) in discount on loans issued at greater than fair value	(3,505)	(459)
Increase/(decrease) in accrued employee benefits	(171)	113
Increase/(decrease) in provisions	-	-
Increase/(decrease) in unearned revenue	871	2,812
Net cash provided by operating activities	22,356	23,622

QRAA Notes to the financial statements

for the year ended 30 June 2016

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- Note 1: Basis of Financial Statement Preparation
- Note 2: Objectives of QRAA

SECTION 2 – NOTES ABOUT OUR FINANCIAL PERFORMANCE

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- Note 15: Fair Value Measurement
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SECTION 5 – NOTES ABOUT OUR PERFORMANCE COMPARED TO BUDGET

- Note 21: Budgetary Reporting Disclosures
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- Note 22: Key Management Personnel and Remuneration
- Note 23: Board Members' Fees
- Note 24: First Year Application of New Accounting Standards or Change in Accounting Policy
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QRAA Notes to the financial statements

for the year ended 30 June 2016

Section 1 - About QRAA and this financial report

Note 1: Basis of financial statement preparation

1.1: General Information

QRAA is established as a statutory body under the *Rural and Regional Adjustment Act 1994* (Qld).

The head office and principal place of business of QRAA is Level 2, 41 George Street, Brisbane QLD 4000.

1.2: Compliance with prescribed requirements

QRAA has prepared these financial statements in compliance with section 43 of the *Financial and Performance Management Standard 2009*. The financial statements comply with Queensland Treasury's Minimum Reporting Requirements for reporting periods beginning on or after 1 July 2015.

QRAA is a not-for-profit entity and these general purpose financial statements are prepared on an accrual basis (except for the Statement of Cash Flow which is prepared on a cash basis) in accordance with Australian Accounting Standards and Interpretations applicable to not-for-profit entities.

New accounting standards early adopted and/or applied for the first time in these financial statements are outlined in Note 24.

1.3: Presentation

Currency and Rounding

Amounts included in the financial statements are in Australian dollars and rounded to the nearest \$1,000 or, where that amount is \$500 or less, to zero, unless disclosure of the full amount is specifically required. Subtotals shown in these financial statements reflect the unrounded amounts in QRAA's financial records, rounded as above. Therefore, rounded amounts shown in these financial statements may not add to the rounded sub-totals.

Current/Non-Current Classification

Assets and liabilities are classified as either 'current' or 'non-current' in the Balance Sheet and associated notes.

Assets are classified as 'current' where their carrying amount is expected to be realised within 12 months after the reporting date. Liabilities are classified as 'current' when they are due to be settled within 12 months after the reporting date, or QRAA does not have an unconditional right to defer settlement to beyond 12 months after the reporting date.

All other assets and liabilities are classified as non-current.

1.4: Basis of measurement

Historical cost is used as the measurement basis in this financial report except where another measurement basis is stated in the relevant note.

Historical Cost

Under historical cost, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration

given to acquire assets at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

Fair Value

Refer to Note 15 for an explanation of Fair Value.

Present Value

The present value of an asset represents the amount that would have to be invested at a given interest rate to yield the same expected future returns as the asset being valued.

The present value of a liability is the amount that could be borrowed at a given interest rate in exchange for a commitment to offer the same future repayments as the liability being valued.

Amortised Cost using the effective interest method

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period.

The amortised cost of a financial asset or financial liability is equal to the present value of estimated future cash flows at the financial instrument's original effective interest rate.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of a financial instrument (or, when appropriate, a shorter period) to the net carrying amount of that instrument.

1.5: Authorisation of financial statements for issue

The financial statements are authorised for issue by the Board of Directors at the date of signing the Management Certificate.

Note 2: Objectives of QRAA

QRAA's vision is to be the preferred provider of financial assistance programs across government through the strategic goals of business sustainability, service excellence and business capability.

QRAA's objectives are to:

- foster the development of a more productive and sustainable rural and regional sector in Queensland;
- support the State's economy by providing assistance to primary producers, small businesses and other elements of the State's economy;
- give assistance by administering programs for the Australian Government and other states in rural and regional sectors outside Queensland;
- administer the Queensland Government's Primary Industry Productivity Enhancement Scheme (PIPES); and
- when required, support the delivery of *Natural Disaster Relief and Recovery Arrangements* (NDRRA).

QRAA Notes to the financial statements

for the year ended 30 June 2016

Section 2 - notes about our financial performance

Note 3: Grants

Accounting Policy – Grants are non-reciprocal in nature so do not require any goods or services to be provided in return. Corresponding revenue is recognised in the year in which QRAA obtains control over the grant (control is generally obtained at the time of receipt).

Additional Disclosure - Included in revenue from Grants for 2016 is a grant of \$9.5 million from the Queensland Government for funding of QRAA. The Grant has been recognised in its entirety upon receipt as QRAA has met the grant agreement's conditions entitling it to receipt of the funding.

Note 4: Fees

Accounting Policy – Fees controlled by QRAA are recognised as revenues when the services have been performed and the revenue can be measured reliably with a sufficient degree of certainty. This involves either invoicing for related goods/services; the recognition of accrued revenue; or the de-recognition of provisions for unearned revenue. Fees are controlled by QRAA where they can be deployed for the achievement of QRAA's objectives.

Note 5: Interest	Note	2016 \$'000	2015 \$'000
Contractual interest received on loans		20,723	21,473
Amortisation of discount on loans	10.4	10,643	9,356
Effective interest income on loans		31,365	30,829
Interest earned on cash and investments		5,234	6,636
Total interest		36,599	37,465

Note 6: Employee expenses	2016 \$'000	2015 \$'000
<i>Employee benefits</i>		
Wages and salaries	6,790	6,854
Annual leave expense	528	633
Employer superannuation contributions	907	928
Long service leave expense	212	201
Termination benefit	218	81
Other employee benefits	126	123
<i>Employee relates expenses</i>		
Workers' compensation premium	15	21
Payroll tax	442	416
Other employee related expenses	145	128
Total	9,384	9,385

	2016	2015
Full time equivalent employees	79	83

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 6 - Employee expenses (continued)

Accounting Policies

Wages and Salaries – Wages and salaries due but unpaid at reporting date are recognised in the Balance Sheet at the current salary rates. QRAA has classified these as current liabilities. Therefore the liabilities are recognised at undiscounted amounts.

Sick Leave – Prior history indicates that on average, sick leave taken in each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised. As sick leave is non-vesting, an expense is recognised for this leave as it is taken.

Annual Leave and Time Off in Lieu (TOIL) – Annual leave and TOIL liabilities are classified as current liabilities. Therefore the liabilities are recognised at undiscounted amounts. All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers' compensation insurance) are also recognised as liabilities, where these on-costs are material.

Long Service Leave – Long service leave liabilities are accounted for as 'other long-term employee benefits' in accordance with AASB 119, and split between current and non-current components. Accounting for 'other long-term employee benefits' requires:

- using an actuarial technique to estimate the cost of the employee benefits earned by employees, and
- discounting that benefit in order to determine the present value of QRAA's obligation and current service cost.

All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers' compensation insurance) are also recognised as liabilities, where these on-costs are material. The discount rates used to calculate the present value of long service leave are from 1.51 per cent to 1.87 per cent (2015: 1.87 per cent to 2.49 per cent). The discount rates are attaching to Australian Stock Exchange (ASX) government bonds yields at the reporting date, which most closely matched the terms of maturity of the related obligations.

Superannuation – Employer superannuation contributions for Directors who are not Queensland Public Sector Employees are paid to the superannuation fund nominated by each Director. Employer superannuation contributions for QRAA's key management personnel and staff employed under the Queensland Public Service Officers and Other Employees Award – State 2015 (Qld) are paid to QSuper, the superannuation scheme for Queensland Government employees, at rates determined by the Treasurer on the advice of the State Actuary. Contributions are expensed in the period in which they are paid or payable. QRAA's obligation is limited to its contribution to the relevant Superannuation schemes.

Workers' Compensation Premiums – QRAA pays premiums to WorkCover Queensland in respect of its obligations for employee compensation. Workers' compensation insurance is a consequence of employing employees, but is not counted in an employee's total remuneration package. It is not employee benefits and is recognised separately as employee related expenses.

Key management personnel and remuneration disclosures are detailed in **Note 22**.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 7: Supplies and services

	2016 \$'000	2015 \$'000
Advertising and promotion	105	61
Queensland Audit Office - fees for the external audit of financial statements	62	65
Audit Fees - Internal	81	77
Bank and other Financial Institution Fees and Charges	19	124
Computer Expenses	332	274
Consultants	-	254
Contractors	881	440
Insurance	53	82
Motor Vehicle Expenses	112	112
Photocopying	5	5
Postage	66	50
Printing	44	51
Professional and Legal Expenses	80	102
Rent	966	943
Securities Expenses	67	104
Stationery	10	13
Telephone and Fax	144	159
Travel and Accommodation	142	155
Other	203	261
Total	3,371	3,332

Accounting Policies

Distinction between Grants and Procurement – For a transaction to be classified as Supplies and services, the value of goods or services received by the agency must be of approximately equal value to the value of the consideration exchanged for those goods or services. Where this is not the substance of the arrangement, the transaction is classified as a grant in the Statement of Comprehensive Income.

Operating Lease Rentals – Operating lease payments are representative of the pattern of benefits derived from the leased assets and are expensed in the periods in which they are incurred. Incentives received on entering into operating leases are recognised as liabilities. Lease payments are allocated between rental expense and reduction of the liability.

Additional Disclosure – Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease terms extend over a period of 16 months. QRAA has no option to purchase the leased item at the conclusion of the lease although the lease terms can be renegotiated upon expiry. Operating lease rental expenses comprise the minimum lease payments payable under operating lease contracts. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

Note 8: Finance/borrowing costs

	Note	2016 \$'000	2015 \$'000
Contractual interest on borrowings		6,824	7,874
Amortisation of discount on interest-bearing and non-interest-bearing borrowings	13.1 & 14.1	10,314	11,519
Total effective interest on borrowings		17,138	19,393

QRAA Notes to the financial statements

for the year ended 30 June 2016

Section 3 - notes about our financial position

Note 9: Cash and cash equivalents

	2016 \$'000	2015 \$'000
Cash at bank	10,739	40,587
Queensland Treasury Corporation - at call	126,604	186,503
Total	137,343	227,090

Accounting Policy – For the purposes of the Balance Sheet and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRAA's option and that are subject to a low risk of changes in value. Cash and cash equivalents are measured at fair value through profit and loss, which is assumed to be equal to the nominal amounts notified by QRAA's banks and investment counterparties.

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994* (Qld), the *Statutory Bodies Financial Arrangements Act 1982* (Qld) and QRAA's Investment Policy.

Additional Disclosure – All bank and QTC cash holdings are interest-bearing. Total cash includes cash and interest revenue related to the funding of QRAA's financial assistance programs. These are quarantined using separate bank accounts and separate accounting ledgers from cash that QRAA uses to pay for employee expenses and supplies and services, and only reissued as future payments to program applicants, or repaid to the Government Agencies that funded the respective financial assistance programs.

Note 10: Loans and advances

	2016 \$'000	2015 \$'000
Gross carrying amount	539,209	543,065
Less: allowance for impairment losses	(2,565)	(4,639)
Discount on loans issued at greater than fair value	(90,118)	(94,015)
	446,527	444,410
Current	42,912	41,356
Non-current	403,615	403,054
Total	446,527	444,410

Accounting Policy - Loans and advances

Loans and advances are recognised in the Balance Sheet when QRAA becomes party to the contractual provisions of the financial instrument.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 10: Loans and advances (continued)

Disclosure 10.1: Credit risk exposure of loans and advances

Definition	Exposure	Measurement Method	Risk Management Strategies
Credit risk exposure refers to the situation where QRAA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.	- The maximum exposure to credit risk at balance sheet date in relation to each class of recognised loans and advances is the gross carrying amount of those assets before allowing for any fair value adjustments or provisions for impairment. - Loans that are secured on real property in Australia are exposed to the risk of the increase of the Loan to Value Ratio (LVR) should the property market be subject to a decline.	- Ageing Analysis - Security Coverage Analysis - Concentrations of credit risk in relation to loans	- The method of managing credit risk exposure is by way of credit assessment procedures, annual loan reviews, and quarterly reporting of arrears to the Board. - The risk of loss from the loans undertaken is primarily reduced by the nature and quality of the security taken. The valuation of securities is assessed annually to ensure sufficient collateral to cover the indebtedness of borrowers. QRAA's policy is to hold security over real property where available.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal client loan risk classification based on collateral provided by borrowers:

Collateral coverage	2016 \$'000	2015 \$'000
Loans and advances with:		
Full collateral coverage	529,304	536,660
Partial collateral coverage	9,905	6,405
	539,209	543,065

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 10: Loans and advances (continued)

Disclosure 10.2: Maximum credit risk exposure

The following table represents the maximum exposure to credit risk based on geographical area and industry.

	Maximum exposure to credit risk			
	% of total loans		\$'000	
	2016	2015	2016	2015
Geographical area				
Central Queensland	24.23%	23.91%	130,673	129,871
North Queensland	10.50%	12.37%	56,615	67,167
South East Queensland	44.14%	44.41%	237,983	241,191
South West Queensland	15.21%	13.48%	81,994	73,221
West Queensland	4.74%	4.61%	25,572	25,032
Northern Territory	1.18%	1.21%	6,372	6,582
Total	100.00%	100.00%	539,209	543,065
Industry				
Aquaculture and Fishing	0.91%	0.77%	4,901	4,180
Banana Growing	1.41%	2.04%	7,626	11,068
Beef Cattle	50.09%	46.66%	270,115	253,410
Dairy Cattle	3.28%	3.34%	17,676	18,127
Grain and Livestock	10.08%	10.40%	54,362	56,504
Other Crops	9.03%	9.97%	48,704	54,159
Other Livestock	4.07%	4.25%	21,967	23,075
Small Crops and Fruit	4.95%	5.55%	26,693	30,118
Sugar Cane	13.77%	13.81%	74,230	74,991
Small Business	2.40%	3.21%	12,935	17,433
Total	100.00%	100.00%	539,209	543,065

10.3: Impairment of Loans and Advances

Accounting Policy - Impairment of Loans and Advances

The allowance for impairment reflects the occurrence of loss events. The most readily identifiable loss event is where a debtor is significantly overdue in making a contractual repayment to QRAA.

A loan is past due when the client has failed to make payment when contractually due. Past due does not mean that a client will never pay, but it can trigger various actions such as renegotiation, enforcement of covenants or legal proceedings.

If appropriate, the estimated recoverable amount of the loan is determined and any impairment loss based on the net present value of future anticipated cash flows is recognised in the financial statements.

If QRAA determines that an amount owing by such a debtor does become uncollectible (after appropriate range of debt recovery actions), that amount is recognised as a Bad Debt expense and written-off directly against Loans and advances.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 10: Loans and advances (continued)

Disclosure 1 - Ageing of past due but not impaired loans and advances

	2016 \$'000	2015 \$'000
Overdue		
Less than 31 days	17,842	27,026
31 to 63 days	7,646	4,572
63 to 95 days	2,931	2,542
Greater than 95 days	10,532	15,001
Total overdue	38,951	49,140

Disclosure 2 - Individually impaired loans and advances position (aged)

	2016			2015		
	Amortised cost gross of impairment provision	Provision for impairment	Carrying amount	Amortised cost gross of impairment provision	Provision for impairment	Carrying amount
Overdue	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Less than 31 days	16	(16)	-	28	(28)	-
31 to 63 days	15	(15)	-	48	(48)	-
63 to 95 days	11	(11)	-	14	(14)	-
Greater than 95 days	400	(359)	41	399	(388)	11
Total overdue	442	(401)	41	489	(478)	11

Disclosure 3 - Movement in allowance for impairment of loans and advances

	2016 \$'000	2015 \$'000
Balance at 1 July	4,639	4,956
Increase/decrease in allowance recognised in operating result	(470)	974
Amounts written-off during the year	(1,605)	(1,291)
Balance at 30 June	2,565	4,639

10.4: Movement in discount on loans issued at greater than fair value

	Note	2016 \$'000	2015 \$'000
Balance at 1 July		94,015	94,768
Loss on loans issued at greater than fair value		6,745	8,604
Amortisation of discount on loans	5	(10,643)	(9,356)
Balance at 30 June		90,118	94,015

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 10: Loans and advances (continued)

Accounting Policy

Loans and advances are measured initially at fair value. Where loans and advances are provided with interest free periods or at concessional interest rates, they are considered to have a fair value which is less than the amount lent. This fair value is calculated in accordance with Note 15.1. Any additional amount lent above the fair value is recognised as a charge for discounted loans in profit or loss.

Subsequently, loans and advances are measured at amortised cost using the effective interest method as defined in Note 1. The discount rate used to calculate the amortised cost is the original effective interest rate applied to the loan, and is calculated in accordance with Note 15.1.

Note 11: Property, plant and equipment

11.1: Closing balances and reconciliation of carrying amount

	Computer Equipment		Leasehold Improvements		Motor Vehicles		Office Equipment		Total	
	2016	2015	2016	2015	2016	2015	2016	2015	2016	2015
Gross	458	458	570	570	509	509	179	240	1,715	1,777
Less: Accumulated depreciation	(450)	(438)	(391)	(249)	(339)	(169)	(167)	(223)	(1,346)	(1,079)
Carrying amount at 30 June	9	20	178	321	170	340	12	17	369	698
<i>Represented by movements in carrying amount:</i>										
Carrying amount at 1 July	20	55	321	463	340	242	17	23	698	783
Acquisitions	-	12	-	-	-	350	-	-	-	362
Disposals	-	-	-	-	-	(86)	-	-	-	(86)
Depreciation	(11)	(47)	(142)	(142)	(170)	(167)	(5)	(5)	(329)	(361)
Carrying amount at 30 June	9	20	178	321	170	340	12	17	369	698

11.2: Recognition and measurement

Accounting Policy

Items of Plant and equipment with a cost or other value equal to or in excess of the asset recognition threshold of \$5,000 are recognised for financial reporting purposes in the year of acquisition. Items with a lesser value are expensed in the year of acquisition. Expenditure is only added to an asset's carrying amount if it increases the service potential or useful life of the existing asset. Maintenance expenditure that merely restores original service potential (lost through ordinary wear and tear) is expensed.

Plant and equipment is measured at historical cost in accordance with the Queensland Government's Non-Current Asset Policies.

11.3: Depreciation expense

Accounting Policy

Plant and equipment is depreciated on a straight-line basis so as to allocate the net cost of each asset, less its estimated residual value, progressively over its estimated useful life to QRAA.

Residual values are estimated based on the second hand market for any assets with resale potential.

Key Judgement: Straight line depreciation is used in reflecting the progressive consumption of future economic benefits over their useful life to QRAA.

Key Estimate: For each class of Plant and equipment, the following depreciation rates are used:

Class	Rate %
Computer equipment	20
Leasehold improvements	25
Motor vehicles	33.3
Office equipment	17

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 11: Property, plant and equipment (continued)

11.4: Impairment

Accounting Policy

All non-current physical assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss. The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

There were no impairment losses identified for plant or equipment in the current or prior financial years.

Note 12: Intangible assets

12.1: Closing balances and reconciliation

	Computer Software	
	2016	2015
Gross	982	1,799
Less: Accumulated amortisation	(982)	(1,313)
Carrying amount at 30 June	-	486
<i>Represented by movements in carrying amount:</i>		
Carrying amount at 1 July	486	817
Acquisitions	-	-
Amortisation	(486)	(331)
Carrying amount at 30 June	-	486

12.2: Recognition and measurement

Accounting Policy

Intangible assets with a historical cost or other value equal to or greater than \$100,000 are recognised in the financial statements. Items with a lesser value are expensed. Any training costs are expensed as incurred.

Each intangible asset, less any anticipated residual value, is amortised over its estimated useful life to QRAA. The residual value is zero for all of QRAA's intangible assets.

It has been determined that there is not an active market for any of QRAA's intangible assets. As such, the assets are recognised and carried at cost less accumulated amortisation and accumulated impairment losses.

The purchase cost of intangible assets as well as any employee benefit costs and professional fees arising directly from testing the asset or bringing it into its working condition are capitalised and amortised on a straight-line basis over the period of the expected benefit to QRAA. The period of expected benefit ranges from 1 to 10 years.

Internal costs associated with the development of computer software are capitalised in accordance with the Queensland Government's Non-current Asset Policy.

12.3: Impairment

Accounting Policy

Intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

Intangible assets are principally assessed for impairment by reference to the actual and expected continuing use of the asset by QRAA, including discontinuing the use of the software. Recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 13: Interest-bearing borrowings

	2016 \$'000	2015 \$'000
Current		
Queensland Treasury Corporation*	853	763
Queensland Government	12,276	17,286
Northern Territory Government	65	19,149
Australian Government	4,003	81,286
	17,197	118,484
Non-current		
Queensland Treasury Corporation*	675	1,528
Queensland Government	57,912	68,491
Northern Territory Government	5,952	5,477
Australian Government	108,452	93,459
	172,992	168,955
	190,189	287,439

*This loan facility was approved under the Queensland Government's State Borrowing Program. At 30 June 2016, the amount undrawn under the facility was \$21.70 million.

** Under the NDRRA Program, QRAA borrows funds from the Queensland Government. Part of the funds borrowed is interest-bearing and is shown in this **Note 13**. The other part is interest-free and is shown in **Note 14**.

Accounting Policy

Financial liabilities are recognised in the Balance Sheet when QRAA becomes party to the contractual provisions of the financial instrument.

Additional Disclosures

QRAA borrows money from the Australian and Northern Territory Governments to be on-lent to successful applicants under the Australian Government's Concessional Loans Schemes. All borrowings are in \$A denominated amounts. The timing and quantum of interest payable to the Australian and Northern Territory Governments is directly linked to the timing and quantum of bank and loan interest received by QRAA.

Where QRAA is unable to recover concessional loans made to businesses on behalf of the Australian or Northern Territory Governments, QRAA's obligation to repay the respective liability to the Australian or Northern Territory Government's will be reviewed in accordance with the loan agreements between QRAA and those governments. Effective 1 July 2015, QRAA acted as an agent in managing certain funds on behalf of a number of government agencies. Transactions and balances where QRAA is an agent are disclosed in **Note 26**.

Interest rates on interest-bearing borrowings range from 1.38 per cent to 3.55 per cent.

13.1: Movement in discount on interest-bearing borrowings

	Note	2016 \$'000	2015 \$'000
Balance at 1 July		24,245	17,850
Gain on borrowings received at greater than fair value		2,282	15,296
Amortisation of discount on borrowings	8	(7,804)	(8,901)
Balance at 30 June		18,723	24,245

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 13: Interest-bearing borrowings (continued)

13.1: Movement in discount on interest-bearing borrowings (continued)

Accounting Policy

Borrowings are initially recognised at fair value. Where borrowings are provided with interest-free periods or at concessional interest rates, they are considered to have a fair value which is less than the amount borrowed. This fair value is calculated in accordance with Note 15. Any additional amount received above the fair value is recognised as a gain on borrowings received at concessional interest rates in the statement of comprehensive income.

Subsequently, borrowings are measured at amortised cost using the effective interest method as defined in **Note 1**. The discount rate used to calculate the amortised cost is the original effective interest rate applied to the borrowing, and is calculated in accordance with Note 15.

Finance costs are recognised as Finance/Borrowing Costs in the Statement of Comprehensive Income in the period in which they are incurred. Interest on the borrowings which is calculated using the effective interest method as defined in **Note 1** is also reported under Finance/Borrowing Costs (refer to **Note 8**).

Note 14: Non-interest-bearing borrowings

	2016 \$'000	2015 \$'000
Current		
<i>Current</i>		
Queensland Government**	8,332	11,741
<i>Non-current</i>		
Queensland Government**	36,624	42,540
Total non-interest-bearing borrowings	44,955	54,281

** Interest-free component of loans for the NDRRA program (refer to **Note 13**).

The accounting policy appearing under **Note 13** also applies to the balances shown in this **Note 14**.

14.1: Movement in discount on non-interest-bearing borrowings

	Note	2016 \$'000	2015 \$'000
Balance at 1 July		10,128	12,155
Gain on borrowings received at greater than fair value		592	589
Amortisation of discount on borrowings	8	(2,510)	(2,617)
Balance at 30 June		8,209	10,128

QRAA Notes to the financial statements

for the year ended 30 June 2016

Section 4 - Notes about risks and other accounting uncertainties

Note 15: Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions (i.e. an exit price).

15.1: Fair value measurement hierarchy

All assets and liabilities of QRAA for which fair value is measured or disclosed in the financial statements are categorised within the following fair value hierarchy, based on the data and assumptions used in the most recent specific appraisals:

Level 1	represents fair value measurements that reflect unadjusted quoted market prices in active markets for identical assets and liabilities;
Level 2	represents fair value measurements that are substantially derived from inputs (other than quoted prices included within level 1) that are observable, either directly or indirectly; and
Level 3	represents fair value measurements that are substantially derived from unobservable inputs.

The fair value of Borrowings from the Queensland Treasury Corporation (QTC) is notified by QTC. It is calculated using discounted cash flow analysis and the effective interest rate. They are categorised as level 3 fair values within the fair value hierarchy.

All of QRAA's other financial assets and liabilities are classified within level 2 of the fair value hierarchy.

The initial fair value of loans, advances and borrowings is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit risk).

For loans and advances, QRAA estimates these prevailing market rates by reference to the 90 day bank bill swap bid rate (BBSY 90 Bid) plus a risk premium. The risk premium takes account of the term of the loan and the security available. These risk premiums range from 335 basis points to 720 basis points (2015: from 235 basis points to 620 basis points).

For borrowings from the Australian and Northern Territory Governments, QRAA estimates the prevailing market rate of interest to be equal to the market rate of interest applying to Loans and advances made under the concessional loans schemes that QRAA administers on behalf of those governments.

For borrowings from the Queensland Government, QRAA estimates the Queensland Treasury Corporation ten year debt pool interest rates to be the prevailing market rates for a Queensland Government Agency receiving ten year loans from another government agency

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 15: Fair value measurement (continued)

15.2: Fair value disclosures for financial assets and liabilities measured at amortised cost

	2016		2015	
	Carrying amount \$'000	Fair value \$'000	Carrying amount \$'000	Fair value \$'000
Financial assets				
Financial assets at amortised cost				
Loans and advances	446,527	456,622	444,410	472,299

	2016		2015	
	Carrying amount \$'000	Fair value \$'000	Carrying amount \$'000	Fair value \$'000
Financial liabilities				
Financial liabilities at amortised cost				
Australian Government Borrowings	112,455	124,140	174,745	174,734
Northern Territory Government Borrowings	6,017	6,595	24,627	24,627
Queensland Government Borrowings	115,144	122,590	140,058	148,310
Queensland Treasury Corporate Borrowings	1,528	1,592	2,292	2,394
Total	235,144	254,917	341,721	350,065

Note 16: Financial risk disclosures

16.1: Financial instrument categories:

Financial assets and liabilities are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Category	Note	2016 \$'000	2015 \$'000
<i>Financial assets</i>			
Cash and cash equivalents	9	137,343	227,090
Loans and advances	10	446,527	444,410
Receivables		110	818
Total		583,980	672,318
<i>Financial liabilities</i>			
Financial liabilities measured at amortised cost:			
Payables		269	253
Interest-bearing borrowings	13	190,189	287,439
Non-interest bearing borrowings	14	44,955	54,281
Total		235,413	341,974

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 16: Financial risk disclosures (continued)

16.2: Financial risk management

(a) Risk Exposure

Financial risk management is implemented pursuant to the Queensland Government's and QRAA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRAA.

All financial risk is managed by the Board of Directors and the Audit and Risk Management Committee under policies approved by QRAA. QRAA provides written principles for overall risk management, as well as policies covering specific areas.

QRAA's activities expose it to a variety of financial risks as set out in the following table:

Risk Exposure	Definition	Exposure	Measurement method	Risk management strategies
Credit risk	Refer to Note 10	Refer to Note 10	Refer to Note 10	Refer to Note 10
Liquidity risk	Liquidity risk refers to the situation where QRAA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.	QRAA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation, Queensland Treasury, the Australian Government and the Northern Territory Government for on-lending.	Maturity analysis	QRAA manages liquidity risk using a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRAA has sufficient funds available to meet payment obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various liabilities
Market risk	The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk and other price risk. Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.	QRAA does not trade in foreign currency and is not materially exposed to commodity price changes. QRAA is exposed to interest rate risk through its interest bearing borrowings, cash deposited in interest bearing accounts, and through the variable interest rates applying to certain loans issued by QRAA.	Interest rate sensitivity analysis	QRAA does not undertake any hedging in relation to interest risk and manages its risk as per QRAA's liquidity risk management strategy.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 16: Financial risk disclosures (continued)

(b) Liquidity risk – contractual maturity of financial liabilities

The following table sets out the liquidity risk of financial liabilities held by QRAA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date as advised by Queensland Treasury Corporation, the Australian Government and the Northern Territory Government. The undiscounted cash flows in these tables differ from the amounts included in the Balance Sheet that are based on discounted cash flows.

	2016				2015			
	Contractual maturity payable in				Contractual maturity payable in			
	Total \$'000	< 1 Yr \$'000	1 - 5 Yrs \$'000	> 5 Yrs \$'000	Total \$'000	< 1 Yr \$'000	1 - 5 Yrs \$'000	> 5 Yrs \$'000
Payables	269	269	-	-	253	253	-	-
Australian Government borrowings	138,434	4,330	130,465	3,639	203,713	86,457	117,255	-
Northern Territory Government borrowings	7,290	228	7,062	-	27,505	20,215	7,290	-
Queensland Government borrowings	136,150	21,695	77,203	37,252	167,172	30,631	81,208	55,333
Queensland Treasury Corporation borrowings	1,624	928	696	-	2,479	868	1,611	-
Total	283,767	27,449	215,426	40,892	401,122	138,424	207,365	55,333

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 16: Financial risk disclosures (continued)

(c) Interest rate sensitivity

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on net income if interest rates would change by +/- 1 per cent from the year-end rates applicable to QRAA's financial assets and liabilities. With all other variables held constant, QRAA would have a surplus and equity increase/(decrease) of \$3.94 million (2015: \$3.84 million).

The impact of interest rate movement on QRAA's profit and equity has increased in the current period due to an increase in the ratio of QRAA's interest-bearing assets to interest-bearing borrowings from 2.35:1 (2015) to 3.07:1 (2016).

Financial instruments	Carrying amount \$'000	2016 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	137,343	(1,373)	(1,373)	1,373	1,373
Loans and advances	446,527	(4,465)	(4,465)	4,465	4,465
Australian Government borrowings	112,455	1,125	1,125	(1,125)	(1,125)
Northern Territory Government borrowings	6,017	60	60	(60)	(60)
Queensland Government borrowings	70,189	702	702	(702)	(702)
Queensland Treasury Corporation borrowings	1,528	15	15	(15)	(15)
Overall effect on profit and equity		(3,937)	(3,937)	3,937	3,937

Financial instruments	Carrying amount \$'000	2015 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	227,090	(2,271)	(2,271)	2,271	2,271
Loans and advances	444,410	(4,444)	(4,444)	4,444	4,444
Australian Government borrowings	174,745	1,747	1,747	(1,747)	(1,747)
Northern Territory Government borrowings	24,627	246	246	(246)	(246)
Queensland Government borrowings*	85,777	858	858	(858)	(858)
Queensland Treasury Corporation borrowings	2,292	23	23	(23)	(23)
Overall effect on profit and equity		(3,841)	(3,841)	3,841	3,841

* Interest-bearing component of borrowings for the NDRRA program (refer to **Note 13**).

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 17: Contingencies

QRAA did not have any contingent assets or liabilities as at 30 June 2016 (2015: nil).

Note 18: Commitments

18.1: Non-cancellable operating lease

Commitments under operating leases at reporting date (inclusive of non-recoverable GST input tax credits) are payable as follows:

	2016 \$'000	2015 \$'000
Not later than one year	911	855
Later than one year and not later than five years	232	1,156
Total	1,143	2,042

18.2: Capital Expenditure Commitments

At the reporting date, QRAA had no commitments for capital expenditure.

18.3: Financial Assistance Commitments

At reporting date, QRAA has undrawn financial assistance commitments of \$21.70 million (2015: \$31.79 million). Undrawn commitments are loans and grants that have been approved and are awaiting client drawdown at balance date.

Note 19: Events occurring after the balance sheet date

As part of the Rural Assistance Package announced in the 2016-17 State Budget, it has been proposed that QRAA will be renamed to the Queensland Rural and Industry Development Authority (QRIDA). With an expanded Board charter and a comprehensive evaluation of loan products and facilities offered, QRIDA will support and improve the financial sustainability of the rural sector. This will include improvements to PIPES loans and lending facilities to make them more accessible and relevant to Queensland's farming families. It is expected that the relevant legislation will be introduced to Parliament during 2016-17.

Note 20: Future impact of accounting standards not yet effective

AASB 108.30 At the date of authorisation of the financial report, the expected impacts of new or amended Australian Accounting Standards issued but with future commencement dates are set out below:

AASB 2016-2 Amendments to Australian Accounting Standards - Disclosure Initiative: Amendments to AASB 107

From reporting periods beginning on or after 1 July 2017, this Standard amends AASB 107 Statement of Cash Flows and requires entities preparing financial statements in accordance with Tier 1 reporting requirements to provide additional disclosure that enable users of financial statements to evaluate changes in liabilities arising from financing activities.

These disclosures will include both cash flows and non-cash changes between the opening and closing balance of the relevant liabilities and be disclosed by way of a reconciliation or roll forward as part of the notes to the statement of cash flows. The measurement of assets, liabilities, income and expenditure in the financial statements will be unaffected.

AASB 124 - Related Party Disclosures

Effective from reporting periods beginning on or after 1 July 2016, a revised version of AASB 124 will apply to QRAA. AASB 124 requires disclosures about the remuneration of key management personnel (KMP), transactions with related parties, and relationships between parent and controlled entities.

QRAA already discloses detailed information about remuneration of its KMP, based on Queensland Treasury's Financial Reporting Requirements for Queensland Government Agencies. Due to the additional guidance about the KMP definition in the revised AASB 124, QRAA will be assessing whether its responsible Minister should be part of its KMP from 2016-17. If the responsible Minister is assessed as meeting the KMP definition, no associated remuneration figures will be disclosed by QRAA, as it does not provide the Minister's remuneration. Comparative information will continue to be disclosed in respect of KMP remuneration.

The most significant implications of AASB 124 for QRAA are the required disclosures about transactions between QRAA and its related parties (as defined in AASB 124). For any such transactions, from 2016-17, disclosures will include the nature of the related party relationship, as well as information about those transactions' terms/conditions and amounts, any guarantees given/received, outstanding receivables/ payables, commitments, and any receivables where collection has been assessed as being doubtful. In respect of related party transactions with other Queensland Government controlled entities, the information disclosed will be more high level, unless a transaction is individually significant. No comparative information is required in respect of related party transactions in the 2016-17 financial statements.

AASB 15 Revenue from Contracts with Customers

This Standard will become effective from reporting periods beginning on or after 1 January 2018 and contains much more detailed requirements for the accounting for certain types of revenue from customers.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 20: Future impact of accounting standards not yet effective (cont.)

Depending on the specific contractual terms, the new requirements may potentially result in a change to the timing of revenue from sales of QRAA's goods and services, such that some revenue may need to be deferred to a later reporting period to the extent that QRAA has received cash but has not met its associated obligations (such amounts would be reported as a liability - unearned revenue - in the meantime). QRAA is yet to complete its analysis of current arrangements for sale of its services, but at this stage does not expect a significant impact on its present accounting practices.

AASB 9 Financial Instruments and AASB 2014-7 Amendments to Australian Accounting Standards arising from AASB 9 (December 2014)

These Standards will become effective from reporting periods beginning on or after 1 January 2018. The main impacts of these standards on QRAA are that they will change the requirements for the classification, measurement, impairment and disclosures associated with QRAA's financial assets. AASB 9 will introduce different criteria for whether financial assets can be measured at amortised cost or fair value. Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met. One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

QRAA has commenced reviewing the measurement of its financial assets against the new AASB 9 classification and measurement requirements. However, as the classification of financial assets at the date of initial application of AASB 9 will depend on the facts and circumstances existing at that date, QRAA's conclusions will not be confirmed until closer to that time. At this stage, and assuming no change in the types of transactions QRAA enters into, it is expected that all of QRAA's loans and advances will continue to be required to be measured at amortised cost.

Another impact of AASB 9 relates to calculating impairment losses for QRAA's receivables. Assuming no substantial change in the nature of QRAA's loans and advances, impairment losses will be determined according to the amount of lifetime expected credit losses. On initial adoption of AASB 9, QRAA will need to determine the expected credit losses for its loans and advances by comparing the credit risk at that time to the credit risk that existed when those receivables were initially recognised.

QRAA will not need to restate comparative figures for financial instruments on adopting AASB 9 as from 2018-19. However, changed disclosure requirements will apply from that time. A number of one-off disclosures will be required in the 2018-19 financial statements to explain the impact of adopting AASB 9. Assuming no change in the types of financial instruments that QRAA enters into, the most likely ongoing disclosure impacts are expected to relate to the credit risk of loans and advances subject to impairment.

All other Australian accounting standards and interpretations with future commencement dates are either not applicable to QRAA's activities, or have no material impact on QRAA.

AASB 16 Leases

This Standard will become effective for reporting periods beginning on or after 1 January 2019. When applied, the standard supersedes AASB 117 Leases, AASB Interpretation 4 Determining whether an Arrangement contains a Lease, AASB Interpretation 115 Operating Leases – Incentives and AASB Interpretation 127 Evaluating the Substance of Transactions Involving the Legal Form of a Lease.

Impact for Lessees

Unlike AASB 117 Leases, AASB 16 introduces a single lease accounting model for lessees. Lessees will be required to recognise a right-of-use asset (representing rights to use the underlying leased asset) and a liability (representing the obligation to make lease payments) for all leases with a term of more than 12 months, unless the underlying assets are of low value.

In effect, the majority of operating leases (as defined by the current AASB 117) will be reported on the Balance Sheet under AASB 16. There will be a significant increase in assets and liabilities for agencies that lease assets. The impact on the reported assets and liabilities would be largely in proportion to the scale of the agency's leasing activities.

The right-of-use asset will be initially recognised at cost, consisting of the initial amount of the associated lease liability, plus any lease payments made to the lessor at or before the commencement date, less any lease incentive received, the initial estimate of restoration costs and any initial direct costs incurred by the lessee. The right-of-use asset will give rise to a depreciation expense.

The lease liability will be initially recognised at an amount equal to the present value of the lease payments during the lease term that are not yet paid. Current operating lease rental payments will no longer be expensed in the Statement of Comprehensive Income. They will be apportioned between a reduction in the recognised lease liability and the implicit finance charge (the effective rate of interest) in the lease. The finance cost will also be recognised as an expense.

AASB 16 allows a 'cumulative approach' rather than full retrospective application to recognising existing operating leases. If a lessee chooses to apply the 'cumulative approach', it does not need to restate comparative information. Instead, the cumulative effect of applying the standard is recognised as an adjustment to the opening balance of accumulated surplus (or other component of equity, as appropriate) at the date of initial application. QRAA will await further guidance from Queensland Treasury on the transitional accounting method to be applied.

QRAA has not yet quantified the impact on the Statement of Comprehensive Income or the Balance Sheet.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Section 5 - Notes about our performance compared to budget

Note 21: Budgetary reporting disclosures

This section discloses QRAA's original published budgeted figures for 2015-16 compared to actual results, with explanations of major variances, in respect of QRAA's Statement of Comprehensive Income, Balance Sheet and Statement of Cash Flows.

Overall Comments

As a specialist administrator of financial assistance programs on behalf of various government agencies, QRAA often steps up to deliver new programs that are announced after QRAA's annual budget has been finalised. This can have a significant impact on QRAA's financial results.

Table A: Budget to actual comparison - statement of comprehensive income

	Variance notes	2015-16 Budget \$'000	2015-16 Actual \$'000	Variance \$'000	Variance % of budget \$'000
Income from Continuing Operations					
Grants	21.1	28,485	28,287	(198)	(1%)
Fees		1,353	1,479	126	9%
Interest	21.2	43,419	36,599	(6,820)	(16%)
Other revenue		-	9	9	NA
Total revenue		73,257	66,374	(6,883)	(9%)
Gain on borrowings received at concessional interest rates	21.3	6,119	2,874	(3,245)	(53%)
Gain on impairment reversal	21.4	-	470	470	NA
Total income from Continuing Operations		79,376	69,718	(9,658)	(12%)
Expenses from Continuing Operations					
Employee expenses	21.5	10,051	9,384	(667)	7%
Supplies and services	21.6	5,636	3,371	(2,266)	(40%)
Grants and subsidies	21.7	18,694	15,558	(3,136)	(17%)
Depreciation and amortisation	21.8	471	815	344	73%
Loss on discounted loans advanced at concessional interest rates	21.9	21,571	6,745	(14,826)	(69%)
Impairment loss	21.4	257	-	(257)	(100%)
Finance/borrowing costs	21.10	19,637	17,138	(2,498)	(13%)
Total expenses from continuing operations		76,317	53,011	(23,306)	(31%)
Total comprehensive income		3,059	16,707	13,648	446%

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 21: Budgetary reporting disclosures (continued)

Explanation of major variances - statement of comprehensive income

- 21.1:** The decrease of \$0.20 million in Grants is largely due to the following factors:
- NDRRA grant revenues were \$9.72 million less than anticipated due to lower than expected application volumes; offset by
 - Grants of \$9.36 million for the Net Free Fishing Zones – Settlement and Buyback Scheme and Net Free Fishing Zones – Impact Alleviation Scheme. These were not budgeted as the agreement to deliver the program was entered after the 2015-16 budget was finalised.
- 21.2:** The decrease in interest revenue is largely attributable to the following factors:
- \$4.95 million resulting from a lower than expected balance of loans and advances (as explained in **Note 21.11** to the balance sheet); and
 - \$1.06 million resulting from lower than budgeted loan interest rate for the Australian Government Concessional Loan Schemes. Average loan interest decreased by 0.79%.
- 21.3:** The decrease is largely due to the lower-than-budgeted cash inflows from borrowings (as explained in **Note 21.22** to the cash flow statement).
- 21.4:** The increase is due to lower than anticipated provisions for impaired loans and advances. This is largely due to a lower than budgeted balance of loans and advances (as explained in Note 21.11 to the balance sheet).
- 21.5:** The decrease is due to the following factors:
- Employee costs on the Compass project that have not occurred, as the timing of the implementation of the Compass project is under review and has been provisionally rescheduled to 2016-17. The employee expenses were \$0.27 million less than budget on Compass project; and
 - Reduced FTEs due to lower than budgeted grant and loan activities.
- 21.6:** The decrease is due to the timing of the implementation of the Compass project, which is under review and has been provisionally rescheduled from 2015-16 to 2016-17. The supplies and services expense for the project was less than budgeted by \$1.96 million.
- 21.7:** The decrease of \$3.136 million in grants is largely due to the following factors:
- NDRRA grant funding was \$9.72 million less than anticipated due to the fact that the volume of grant applications received was less than budgeted; offset by
 - Grants of \$5.84 million for the Net Free Fishing Zones – Settlement and Buyback Scheme and Net Free Fishing Zones – Impact Alleviation Scheme. These were not budgeted as the agreement to deliver the program was entered after the 2015-16 budget was finalised.
- 21.8:** The increase relates to a higher than budgeted amortisation cost due to the revision of the estimated useful economic life of computer software. The additional amortisation cost of the software was \$0.48 million.
- 21.9:** The decrease of \$14.83 million in loss on discounted loans advanced is largely due to the following factors:
- \$47.22 million lower than anticipated loans were issued for the 2014-15 Australian Government Concessional Loans Schemes and PIPES loans. This reduced the loss on discounted loans by \$8.02 million; and
 - \$34.03 million of unbudgeted early loan repayments were received by QRAA in 2015-16. This reduced the loss on discounted loans by \$5.79 million.
- 21.10:** The decrease is largely due to the fact that the interest-bearing borrowings balance was lower than budgeted (as explained in Note 21.15 to the Balance Sheet).

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 21: Budgetary reporting disclosures (continued)

Table B: Budget to actual comparison - balance sheet

	Variance notes	2015-16 Budget	2015-16 Actual	Variance	Variance % of budget
		\$'000	\$'000	\$'000	\$'000
Current assets					
Cash and cash equivalents		135,506	137,343	1,836	1%
Loans and advances	21.11	76,776	42,912	(33,864)	(44%)
Receivables		116	110	(6)	(5%)
Total revenue		212,398	180,364	(32,034)	(15%)
Non-current assets					
Loans and advances	21.11	476,142	403,615	(72,527)	(15%)
Property, plant and equipment	21.12	732	369	(363)	(50%)
Intangible assets	21.13	2,836	-	(2,836)	(100%)
Total non-current assets		479,710	403,984	(75,725)	(16%)
Total assets		692,108	584,349	(107,759)	(16%)
Current liabilities					
Payables		200	269	70	35%
Unearned revenue	21.14	3,347	6,965	3,618	108%
Interest-bearing borrowings	21.15	13,484	17,197	3,713	28%
Non-interest-bearing borrowings	21.16	6,830	8,332	1,502	22%
Accrued employee benefits		2,329	2,317	(12)	(1%)
Total current liabilities		26,190	35,080	8,890	34%
Non-current liabilities					
Interest-bearing liabilities	21.15	312,632	172,992	(139,641)	(45%)
Non-interest-bearing borrowings	21.16	42,498	36,624	(5,874)	(14%)
Accrued employee benefits		146	101	(45)	(31%)
Provisions		219	219	-	-
Total non-current liabilities		355,496	209,936	(145,560)	(41%)
Total liabilities		381,686	245,016	(136,600)	(36%)
Net assets		310,421	339,332	28,842	9%
Equity					
Contributed equity		137,652	137,652	-	-
Accumulated surplus	21.17	172,769	201,680	28,911	17%
Total equity		310,421	339,332	28,911	9%

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 21: Budgetary reporting disclosures (continued)

Explanation of major variances - balance sheet

- 21.11:** Current and non-current loans and advances were below budget due to:
- Lower than budgeted cash outflows from loans and advances made (as explained in **Note 21.21** to the Cash Flow Statement)
 - Higher than expected cash inflows from loans and advances redeemed (as explained in **Note 21.20** to the Cash Flow Statement); and
 - The opening balance as at 1 July 2015 being \$63.08 million lower than budgeted.
- 21.12:** The below budget expenditure is due to the fact that budgeted replacement of motor vehicles was brought forward to 2014-15.
- 21.13:** The decrease is due to the implementation of the Compass project being provisionally rescheduled from 2015-16 to 2016-17.
- 21.14:** The increase is largely due to the following factors:
- Fees for service of \$2.03 million associated with QRAA's administration of the 2015-16 Australian Government Concessional Loans Schemes were not approved when the 2015-16 budget was finalised; and
 - The opening unearned revenue balance at the beginning of the financial year was \$1.39 million greater than the budgeted opening balance.
- 21.15:** The decrease of \$135.92 million in current and non-current interest-bearing borrowings is due to:
- \$60.53 million lower than budgeted cash inflows from borrowings (refer to **Note 21.22** to the Cash Flow Statement); and
 - \$88.62 million higher than expected cash outflows from borrowings redeemed (refer to **Note 21.23** to the Cash Flow Statement).
- 21.16:** The decrease of \$4.37 million in current and non-current non-interest-bearing borrowings is due to the opening NDRRA borrowing balance as at 1 July 2015 being \$4.80 million lower than budgeted.
- 21.17:** The increase of \$25.39 million in accumulated surplus is attributable to:
- \$10.13 million above budgeted surplus for 2015-16; and
 - \$15.26 million more than budgeted opening balance of accumulated surplus as at 1 July 2015.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 21: Budgetary reporting disclosures (continued)

Table C: Budget to actual comparison - statement of cash flows

	Variance notes	2015-16 Budget \$'000	2015-16 Actual \$'000	Variance \$'000	Variance % of budget \$'000
Cash flows from operating activities					
<i>Inflows</i>					
Grants		28,485	28,287	(198)	(1%)
Fees	21.18	-	2,350	2,350	NA
Interest received	21.2	31,740	26,349	(5,391)	(17%)
GST input tax from ATO		-	371	371	NA
GST collected from customers		-	28	28	NA
Other		-	709	709	NA
<i>Outflows</i>					
Employee expenses	21.5	(10,051)	(9,500)	551	(5%)
Supplies and services	21.6	(5,636)	(3,329)	2,307	(41%)
Grants and subsidies	21.7	(18,694)	(15,558)	3,136	(17%)
Finance/borrowing costs	21.19	(11,965)	(6,880)	5,085	(42%)
GST paid to suppliers		-	(360)	(360)	NA
GST remitted to ATO		-	(112)	(112)	NA
Net cash provided by operating activities		13,878	22,356	8,477	61%
Cash flows from investing activities					
<i>Inflows</i>					
Loans and advances redeemed	21.20	71,462	77,645	6,183	9%
<i>Outflows</i>					
Payments for property, plant and equipment	21.12	(3,307)	-	3,307	(100%)
Loans and advances made	21.21	(123,000)	(75,787)	47,213	(38%)
Net cash provided by investing activities		(54,845)	1,858	56,703	(103%)
Cash flows from financing activities					
<i>Inflows</i>					
Borrowings	21.22	61,000	497	(60,503)	(99%)
<i>Outflows</i>					
Borrowing redemptions	21.23	(25,842)	(114,458)	(88,616)	343%
Net cash used in financing activities		35,158	(113,961)	(149,119)	(424%)
Net increase (decrease) in cash and cash equivalents					
		(5,808)	(89,747)	(83,939)	1,445%
Cash and cash equivalents at beginning of financial year		141,315	227,090	85,775	61%
Cash and cash equivalents at end of financial year		135,506	137,343	1,836	1%

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 21: Budgetary reporting disclosures (continued)

Explanation of major variances - statement of cashflows

- 21.18:** Cash inflows from fees were greater than budget, largely due to the fact that the fees for service of \$2.03 million associated with QRAA's administration of the 2015-16 Australian Government Concessional Loans Schemes were agreed after the 2015-16 budget was finalised.
- 21.19:** The decrease is largely due to the fact that the interest-bearing borrowings balance was lower than budgeted (as explained in **Note 21.15**).
- 21.20:** Cash inflows from loans and advances redeemed were \$6.18 million higher than expected due to:
- \$34.03 million of early loan pay-outs by borrowers; offset by
 - Lower than budgeted contractual loan repayments due to the lower than budgeted loans and advances (as explained in **Note 21.11** to the Balance Sheet).
- 21.21:** Cash outflows from Loans and advances made were \$47.21 million lower than expected because:
- Loans issued under NDRRA were \$5.40 million less than budgeted;
 - Loans issued under the Australian Government Concessional Loan Schemes were \$32.61 million less than budgeted; and
 - Loans issued under the PIPES were \$9.27 million less than budgeted.
- 21.22:** Cash inflows from Borrowings were lower than expected because less funds were required to fund loans schemes (as explained in **Note 21.21**).
- 21.23:** Cash outflows from borrowing redemptions were higher than expected because:
- loans issued under the Australian Government Concessional Loan Schemes were \$32.61 million less than budget in 2015-16; and
 - as at 1 July 2015, QRAA had \$90.81 million of uncommitted funds relating to Australian Government Concessional Loan Schemes. \$72.92 million of these funds were not consumed by approved applications during the 2015-16 financial year. Therefore these 72.92 million of uncommitted funds were repaid to the Australian and Northern Territory Governments in 2015-16 in accordance with the agreement.

Section 6 - Other information

Note 22: Key management personnel and remuneration

22.1 Key management personnel

The following details for key management personnel include those positions that had authority and responsibility for planning, directing and controlling the activities of QRAA during 2015-16 and 2014-15. Further information can be found in the body of the Annual Report under the section relating to Corporate Governance on page 7.

Incumbent	Contract classification and appointment authority	Date of initial appointment	Date of resignation or cessation
Chief Executive Officer - Responsible for leading and managing the affairs of QRAA including strategically positioning QRAA to achieve organisational and financial goals and implement Board policy.			
Former	Contract - Governor in Council	16 August 2011	14 August 2015
Current	Contract - Governor in Council	10 August 2015	-
General Manager, Program Delivery Services - Delivers financial assistance programs that foster the development of the rural and regional sector that supports the Queensland economy. He/she also delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry.			
Current	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i> (Qld)	20 November 2006	-
General Manager, Corporate Strategy and Operations - Develops and manages QRAA's systems, infrastructure and policies in the areas of finance, human resources and information services. He/she facilitates planning, and performance improvement.			
Current	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i> (Qld)	6 May 2013	-
Project Director - Leads the procurement and implementation of a new loans and grants administration solution which is aligned with QRAA's strategic direction.			
Former	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i> (Qld)	18 March 2013	15 April 2016

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 22: Key management personnel and remuneration (continued)

22.2: Remuneration Policies

Remuneration policy for QRAA's key management personnel is set by QRAA's Board of Directors as provided under the *Rural and Regional Adjustment Act 1994* (Qld).

For the 2015-16 year, remuneration of the General Manager Program Delivery Services, General Manager Corporate Strategy and Operations and the Project Director, increased by 2.2% on previous year's remuneration.

The following disclosures focus on the expenses attributable to key management positions that were incurred by QRAA during the respective reporting periods. The amounts disclosed reflect expenses recognised in the Statement of Comprehensive Income.

Remuneration packages for key management personnel comprise the following components:

- Short term employee benefits which include:
 - Salaries, allowances and leave entitlements earned and expensed for the entire year or for that part of the year during which the employee occupied the specified position.
 - Non-monetary benefits – consisting of provision of a vehicle together with fringe benefits tax applicable to the benefit.
- Long term employee benefits include amounts expensed in respect of long service leave.
- Post-employment benefits include amounts expensed in respect of employer superannuation obligations.
- Termination benefits are not provided for within individual contracts of employment. Contracts of employment provide for notice periods or payment in lieu of notice on termination, plus other aspects of termination benefits as required in various circumstances
- Performance bonuses are not paid under the contracts in place.

The mutually agreed terms for separation of the former Project Director considered all relevant clauses of their contract. The payment for the Former Project Director's separation was determined prior to 30 June 2016 and is included in KMP remuneration expenses for 2015-16.

Total fixed remuneration is calculated on a 'total cost' basis and includes the base and non-monetary benefits, long term employee benefits and post-employment benefits.

1 July 2015 - 30 June 2016

Position	Short term employee benefits		Long Term Employee Benefits	Post Employment Benefits	Termination benefits	Total expenses
	Monetary Expenses	Non-Monetary Benefits				
	\$'000	\$'000	\$'000	\$'000	\$'000	
Chief Executive Officer - Current	185	13	-	21	-	219
Chief Executive Officer - Former	34	12	1	5		51
General Manager, Program Delivery Services	160	15	5	23	-	202
General Manager, Corporate Strategy and Operations	173	5	5	19	-	202
Project Director - Former	141	7	4	15	151	319

1 July 2014 - 30 June 2015

Position	Short term employee benefits		Long Term Employee Benefits	Post Employment Benefits	Termination benefits	Total expenses
	Monetary Expenses	Non-Monetary Benefits				
	\$'000	\$'000	\$'000	\$'000	\$'000	
Chief Executive Officer	215	35	7	35	-	291
General Manager, Program Delivery Services	165	18	5	22	-	210
General Manager, Corporate Strategy and Support	160	-	5	18	-	183
Project Director	155	6	5	17	-	184

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 23: Board members' fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRAA does not reimburse Board members who are government representatives.

	2016 \$'000	2015 \$'000
Board members remuneration	109	113
Number of Board members receiving remuneration in the following ranges		
\$1 to \$9,999	2	-
\$10,000 to \$19,999	3	4
\$50,000 to \$59,999	1	1

The Board members of QRAA who have served at any point in the financial year are:

Name	Date of joining	Date of leaving	Additional information
Wayne Carlson	3/12/2009	Current	Chair of the Board and and Chair of the Remuneration Committee
Dugald Warby	3/06/2014	Current	Chair of the Audit and Risk Management Committee
Georgina Somerset	3/06/2011	Current	
Elton Miller	20/11/2015	Current	Representative of the Department of Agriculture and Fisheries
Christopher Hood	19/07/2012	Current	
Belinda Turner	3/12/2015	Current	
Warwick Agnew	3/06/2014	Current	Representative of Queensland Treasury
Dr. Elizabeth Woods	4/06/2012	20/11/2015	Representative of the Department of Agriculture and Fisheries
Damian Morgan	3/12/2012	25/09/2015	

NOTE 24: First year application of new accounting standards or change in accounting policy

Changes in Accounting Policy

QRAA did not voluntarily change any of its accounting policies during 2015-16.

Accounting Standards Early Adopted for 2015-16

The following Australian Accounting Standard has been early adopted for the 2015-16 year as required by Queensland Treasury.

AASB 2015-2 Amendments to Australian Accounting Standards – Disclosure Initiative: Amendments to AASB 101 [AASB 7, AASB 101, AASB 134 & AASB 1049]

The amendments arising from this standard seek to improve financial reporting by providing flexibility as to the ordering of notes, the identification and location of significant accounting policies and the presentation of sub-totals, and provides clarity on aggregating line items. It also emphasises only including material disclosures in the notes. QRAA has applied this flexibility in preparing the 2015-16 financial statements, including co-locating significant accounting policies with the related breakdowns of financial statement figures in the notes.

Accounting Standards Applied for the First Time in 2015-16

No new Australian Accounting Standards effective for the first time in 2015-16 had any material impact on this financial report.

QRAA Notes to the financial statements

for the year ended 30 June 2016

Note 23: Taxation

QRAA is a State body as defined under the *Income Tax Assessment Act 1936* (C'wealth) and is exempt from Commonwealth taxation with the exception of Fringe Benefits Tax (FBT) and Goods and Services Tax (GST). GST credits receivable from, and GST payable to the ATO are recognised within payables and receivables.

NOTE 26: Transactions and balances where QRAA is an agent

QRAA acts as an agent in its management of certain funds on behalf of a number of government agencies. As QRAA performs only a custodial role in respect of these transactions and balances, they are not recognised in QRAA's financial statements but are disclosed in these notes for the information of users. This is explained further in Note 13 under the heading "Additional Disclosures". Revenue relating to fees received by QRAA for providing agency services are included in Fees in **Note 4**.

Revenue received by QRAA on behalf of Principals	2016 \$'000	2015 \$'000
Revenues		
Interest earned on loans and advances	108	-
Interest earned on cash and investments	838	-
Total	946	-
Assets held by QRAA on behalf of Principals	2016 \$'000	2015 \$'000
Current assets		
Cash and cash equivalents	52,027	-
Non-current assets		
Loans and advances	18,162	-
Total assets	70,189	-

QRAA Management Certificate

For the year ended 30 June 2016

These general purpose financial statements have been prepared pursuant to section 62(1) of the *Financial Accountability Act 2009* (Qld) (the Act), section 43 of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

- (a) the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and
- (b) the statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRAA for the financial year ended 30 June 2016 and of the financial position of QRAA at the end of that year; and
- (c) these assertions are based on an appropriate system of internal controls and risk management processes being effective, in all material respects, with respect to financial reporting throughout the reporting period.

ORIGINAL SIGNED

W S CARLSON

Chairperson

ORIGINAL SIGNED

D WARBY

Chairperson – Audit and Risk Management Committee

ORIGINAL SIGNED

C MACMILLAN

Chief Executive Officer

ORIGINAL SIGNED

A CRANSWICK

Senior Manager Finance

Dated: 23 August 2016

Independent Auditor's report

To the Board of QRAA

Report on the Financial Report

I have audited the accompanying financial report of QRAA, which comprises the balance sheet as at 30 June 2016, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, notes to the financial statements including significant accounting policies and other explanatory information, and the management certificate given by the Chairperson, Chairperson Audit and Risk Management Committee, Chief Executive Officer and Senior Manager Finance.

The Board's Responsibility for the Financial Report

The Board is responsible for the preparation of the financial report that gives a true and fair view in accordance with prescribed accounting requirements identified in the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, including compliance with Australian Accounting Standards. The Board's responsibility also includes such internal control as the Board determines is necessary to enable the preparation of the financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on the financial report based on the audit. The audit was conducted in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. Those standards require compliance with relevant ethical requirements relating to audit engagements and that the audit is planned and performed to obtain reasonable assurance about whether the financial report is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial report that gives a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control, other than in expressing an opinion on compliance with prescribed requirements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial report including any mandatory financial reporting requirements approved by the Treasurer for application in Queensland.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Independence

The *Auditor-General Act 2009* promotes the independence of the Auditor-General and all authorised auditors. The Auditor-General is the auditor of all Queensland public sector entities and can be removed only by Parliament.

The Auditor-General may conduct an audit in any way considered appropriate and is not subject to direction by any person about the way in which audit powers are to be exercised. The Auditor-General has for the purposes of conducting an audit, access to all documents and property and can report to Parliament matters which in the Auditor-General's opinion are significant.

Opinion

In accordance with s.40 of the Auditor-General Act 2009-

(a) I have received all the information and explanations which I have required; and

(b) in my opinion -

- (i) the prescribed requirements in relation to the establishment and keeping of accounts have been complied with in all material respects; and
- (ii) the financial report presents a true and fair view, in accordance with the prescribed accounting standards, of the transactions of QRAA for the financial year 1 July 2015 to 30 June 2016 and of the financial position as at the end of that year.

Other Matters - Electronic Presentation of the Audited Financial Report

Those viewing an electronic presentation of these financial statements should note that audit does not provide assurance on the integrity of the information presented electronically and does not provide an opinion on any information which may be hyperlinked to or from the financial statements. If users of the financial statements are concerned with the inherent risks arising from electronic presentation of information, they are advised to refer to the printed copy of the audited financial statements to confirm the accuracy of this electronically presented information.

ORIGINAL SIGNED

P CHRISTENSEN FCPA

As delegate of the Auditor-General of Queensland

ORIGINAL STAMPED

Queensland Audit Office
Brisbane

Glossary

AR&MC

Audit and Risk Management Committee.

This committee consists of three directors who undertake independent reviews to improve QRAA's operations and outputs.

Australian Government Concessional Loans Schemes

Collective reference to the Australian Government funded Farm Finance, Drought and Drought Recovery Concessional Loans Schemes offered in Queensland and the Northern Territory.

Board of Directors

QRAA is governed by a Board of Directors which is formally accountable to the Minister for Agriculture and Fisheries.

Code of Conduct

The Code of Conduct supports the QRAA Board of Directors and staff to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

DCLS

Drought Concessional Loans Schemes offered in Queensland and/or the Northern Territory as indicated. These schemes are funded by the Australian Government and delivered by QRAA.

DRCLS

Drought Recovery Concessional Loans Schemes offered in Queensland. These schemes are funded by the Australian Government and delivered by QRAA.

NDRRA

Natural Disaster Relief and Recovery Arrangements. NDRRA is a joint Queensland and Australian Government funded program. QRAA is a long-standing delivery partner of NDRRA loan and grant assistance activated to support disaster affected primary producers, businesses and non-profit organisations.

PIPES

Queensland Government's Primary Industry Productivity Enhancement Scheme. This scheme is comprised of the First Start and Sustainability Loans Schemes.

Productivity Loans

First Start and/or Sustainability Loans offered under the Queensland Government's Primary Industry Productivity Enhancement Scheme.

Program owner

Government agency / departmental representative which has engaged QRAA to deliver specialist financial administrative services on its behalf.

SET

Senior Executive Team. An oversight group consisting of the Chief Executive Officer and the General Manager, Program Delivery Services and General Manager, Corporate Strategy and Operations.

Attachment A - Compliance checklist

Summary of requirement		Basis for requirement	Annual Report reference
Letter of compliance	A letter of compliance from the accountable officer or statutory body to the relevant Minister	ARRs – section 8	Page 1
Accessibility	Table of contents	ARRs – section 10.1	Page 2
	Glossary	ARRs – section 10.1	Page 52
	Public availability	ARRs – section 10.2	Page 1
	Interpreter service statement	<i>Queensland Government Language Services Policy</i> ARRs – section 10.3	Page 1
	Copyright notice	<i>Copyright Act 1968 (Qld)</i> ARRs – section 10.4	Page 1
	Information licensing	<i>QGEA – Information Licensing</i> ARRs – section 10.5	N/A
General information	Introductory information	ARRs – section 11.1	Page 3
	Agency role and main functions	ARRs – section 11.2	Page 5
	Operating environment	ARRs – section 11.3	Page 3, 5
Non-financial performance	Government's objectives for the community	ARRs – section 12.1	Page 5
	Other whole-of-government plans / specific initiatives	ARRs – section 12.2	Page 11
	Agency objectives and performance indicators	ARRs – section 12.3	Pages 12, 13
	Agency service areas, and service standards	ARRs – section 12.4	Pages 12, 13, 14
Financial performance	Summary of financial performance	ARRs – section 13.1	Pages 16
Governance – management and structure	Organisational structure	ARRs – section 14.1	Page 6
	Executive management	ARRs – section 14.2	Page 6, 7
	Government bodies (statutory bodies and other entities)	ARRs – section 14.3	Page 7
	<i>Public Sector Ethics Act 1994 (Qld)</i>	<i>Public Sector Ethics Act 1994 (Qld)</i> (section 23 and Schedule) ARRs – section 14.4	Page 8, 9
	Queensland public service values	ARRs – section 14.5	N/A
Governance – risk management and accountability	Risk management	ARRs – section 15.1	Page 8
	Audit committee	ARRs – section 15.2	Page 7
	Internal audit	ARRs – section 15.3	Page 8
	External Scrutiny	ARRs – section 15.4	Page 9
	Information systems and recordkeeping	ARRs – section 15.5	Page 9
Governance – human resources	Workforce planning and performance	ARRs – section 16.1	Page 10, 11
	Early retirement, redundancy and retrenchment	Directive No.11/12 <i>Early Retirement, Redundancy and Retrenchment</i> ARRs – section 16.2	N/A

Summary of requirement (continued)		Basis for requirement	Annual Report reference
Open data	Consultancies	ARRs - section 17 ARRs - section 34.1	Page 9
	Overseas travel	ARRs - section 17 ARRs - section 34.2	Page 9
	Queensland Language Services Policies	ARRs - section 17 ARRs - section 34.3	Page 9
Financial statements	Certification of financial statements	FAA – section 62 FPMS – sections 42, 43 and 50 ARRs – section 18.1	Page 51
	Independent Auditors Report	FAA – section 62 FPMS – section 50 ARRs – section 18.2	Page 52

FAA *Financial Accountability Act 2009* (Qld)

FPMS *Financial and Performance Management Standard 2009* (Qld)

ARRs *Annual report requirements for Queensland Government agencies*

